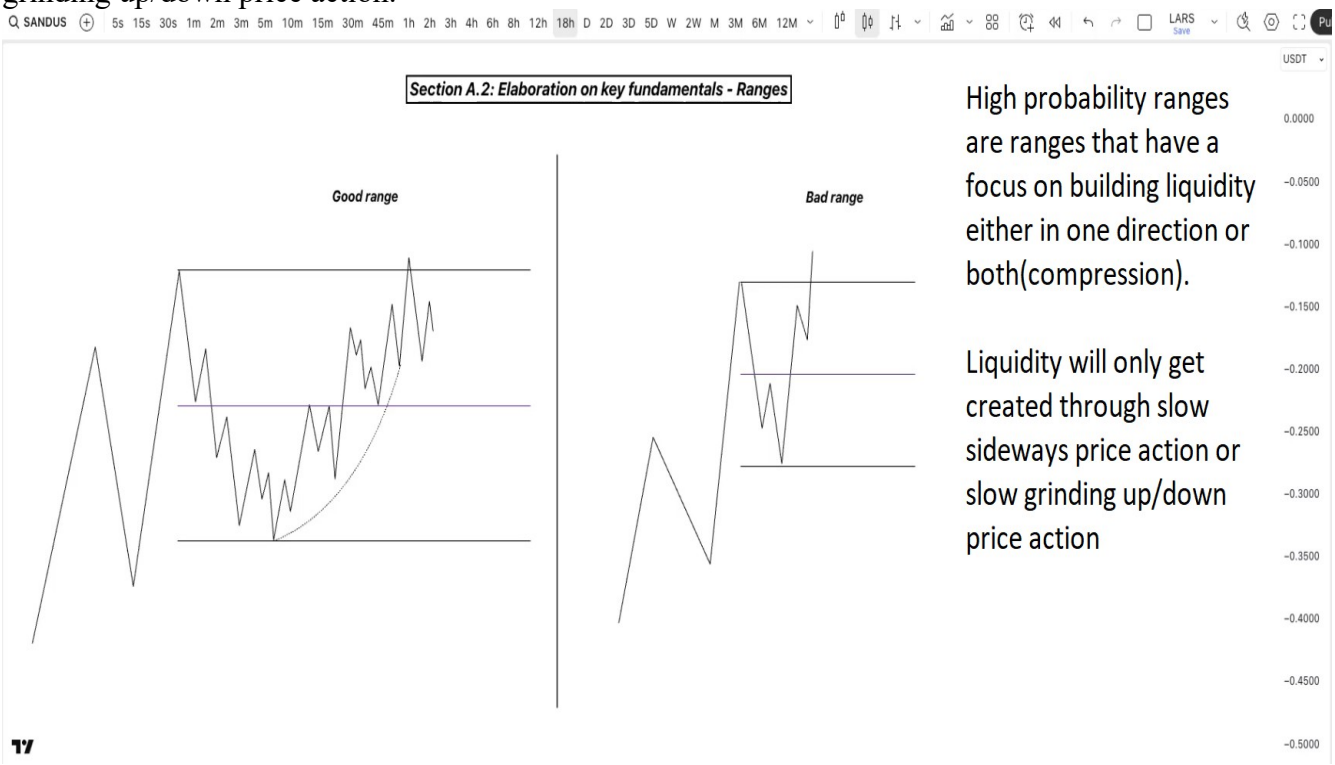
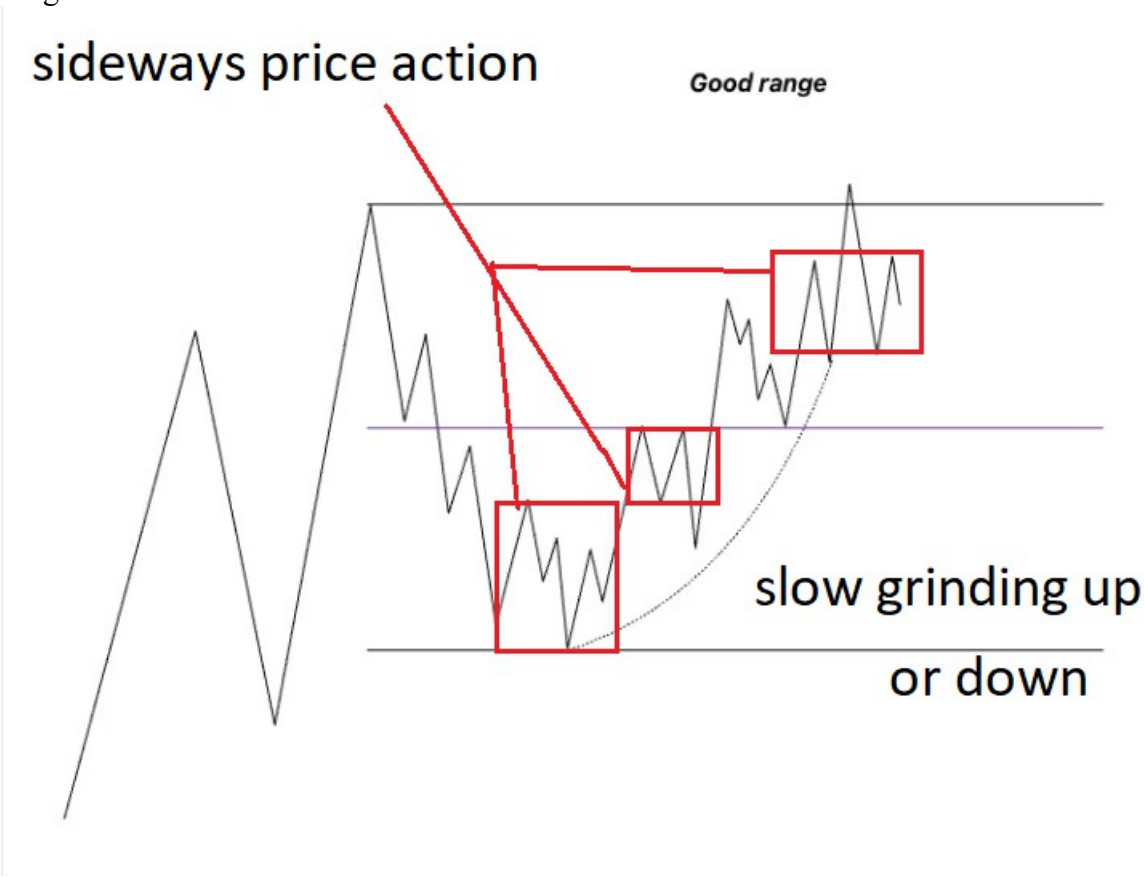
Section A.2: Elaboration on key fundamentals – Ranges

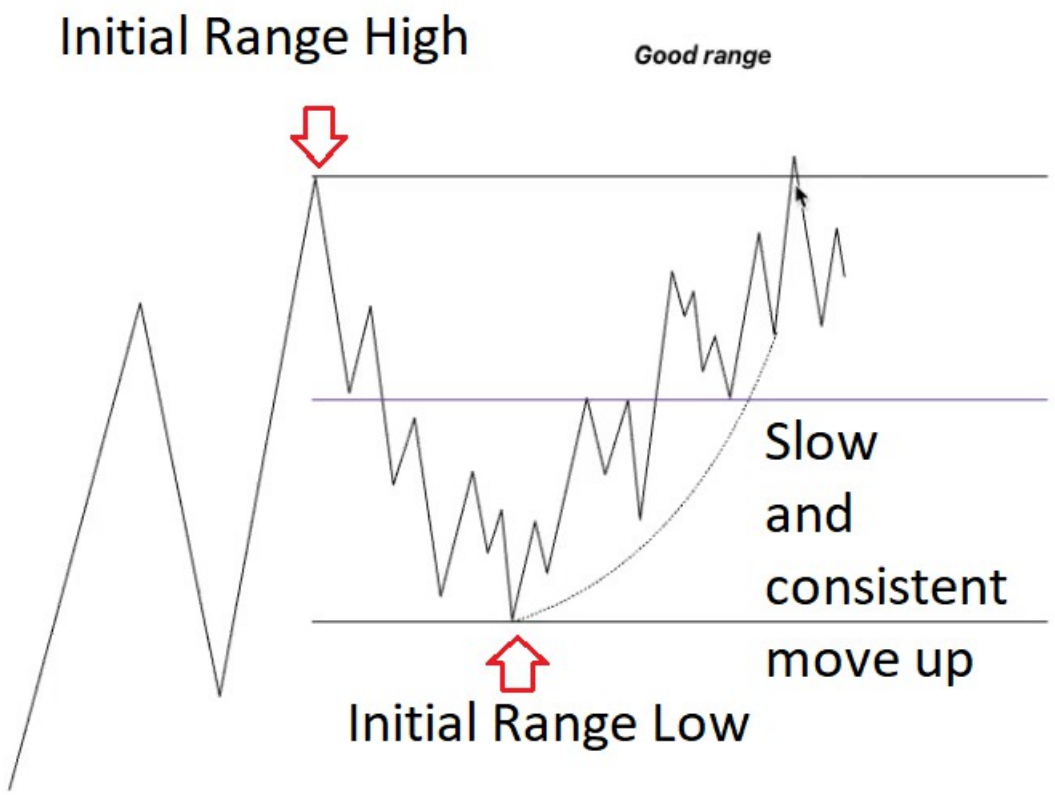
High probability ranges are ranges that have a focus on building liquidity either in one direction or both(compression). Liquidity will only get created through slow sideways price action or slow grinding up/down price action.



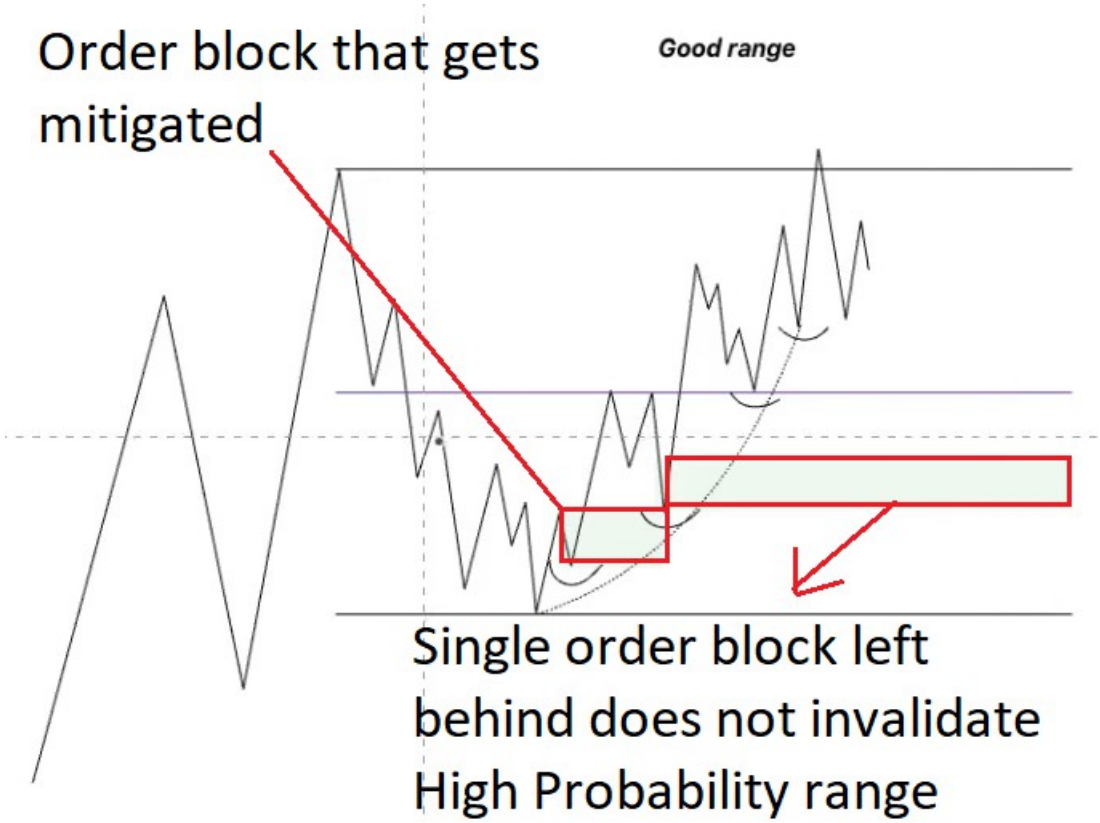
Good Range:



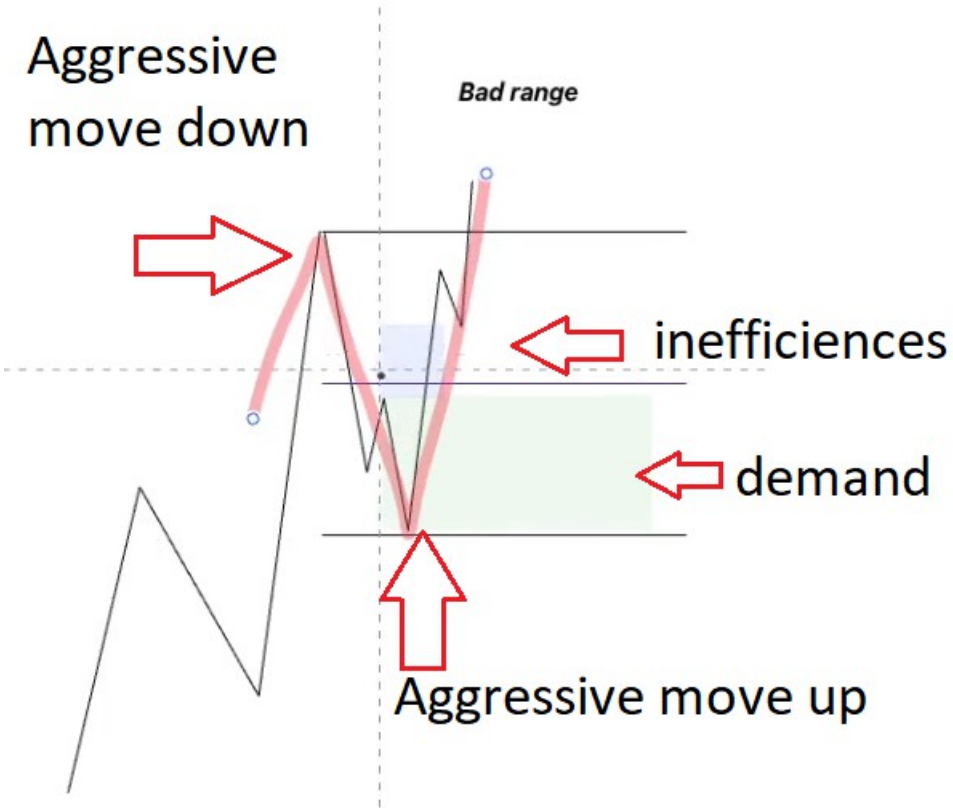
Slow grinding up in this example with nothing other than higher lows getting created on the way up to that range high. Where in the process of coming up we also mitigate most of the demand created on each pivot point. Now not every each higher low needs to have some sort of structure demand but preferably if demand gets created price on the retracement leg mitigates the demand so there is no demand within that range and there just lows all stacking up together that can be connected via a liquidity curve curling up when price is deviating that high. Meaning the focus has been on building higher lows and therefore building sell side liquidity and we have had a slow and consistent move up with barely any demand left behind in this range no inefficiencies left behind just lows that are getting build up in case of a potential distribution when we are looking for a potential distribution.



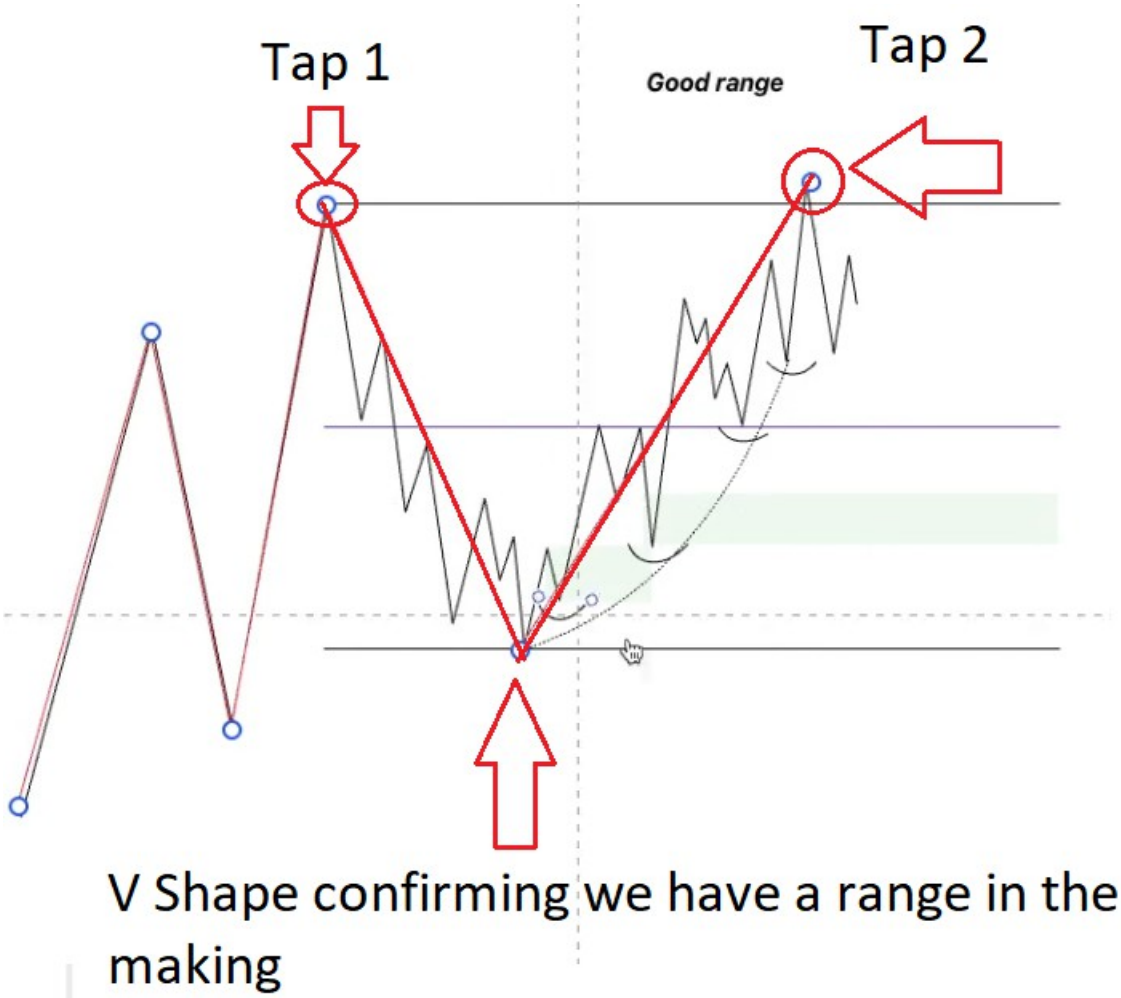
Now it could be a lot of lows building up and there is a single small order black left remaining now that does not invalidate the high probability range its just a POI that you need to be aware of in case we get distribution confirmations.

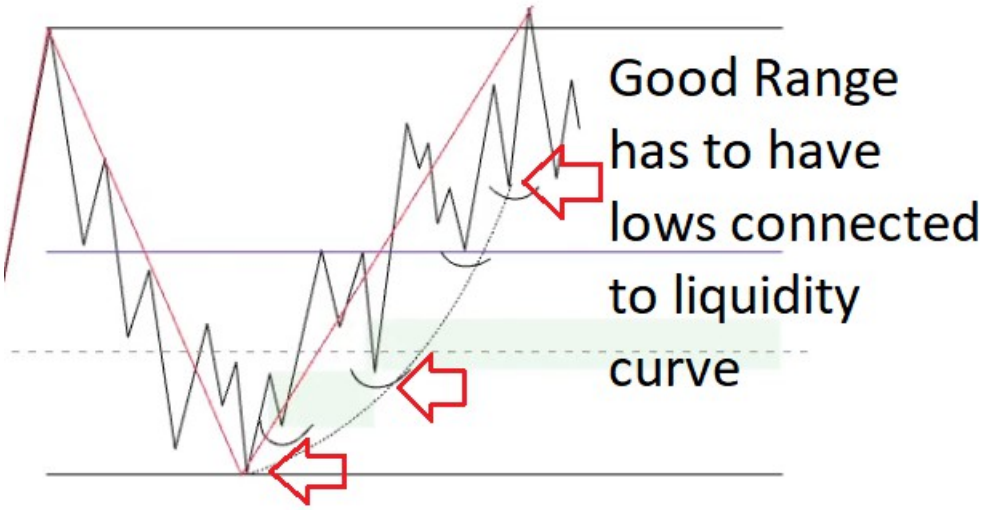


Bad Range: Aggressive price behavior coming down here and also aggressive price behavior coming back up not only created demand there but also leaving multiple inefficiencies wherever that low might be while price is looking like market structure that is making a higher low and a higher high theres little to no time displacement between our Tap 1, and our Tap 2 its looking like V-shaped price action from a market structure standpoint with a high, a low, and than a high low, and we are creating inefficiencies and potentially demand on the move up. That is the indication of a bad range.

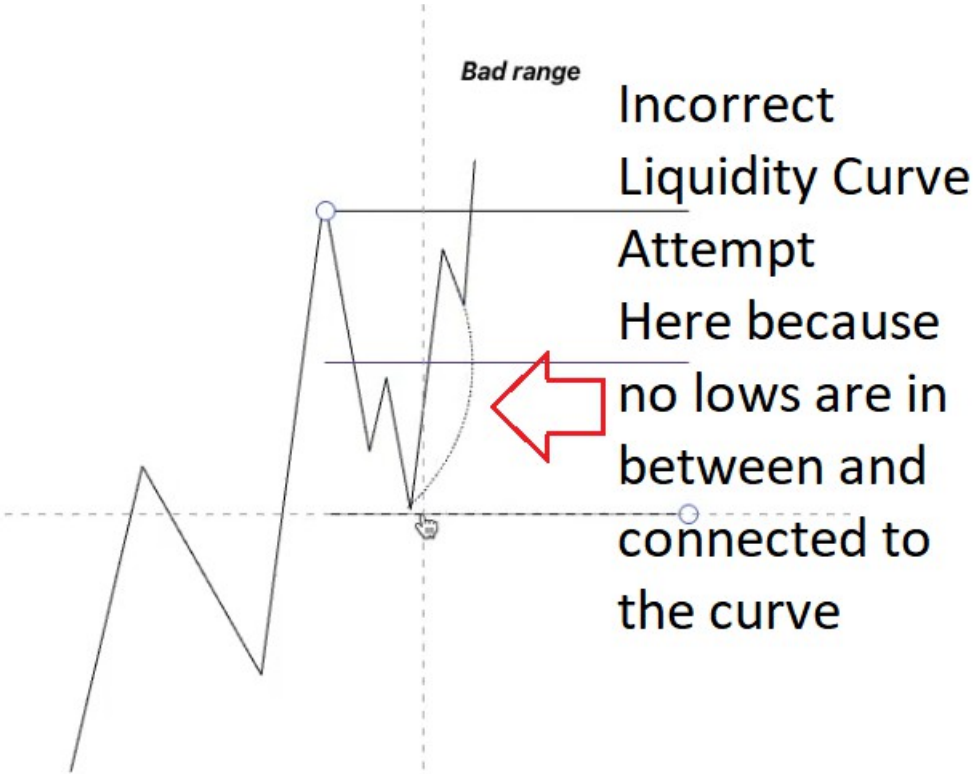


For a good range we want great time displacement between tap 1, and tap 2, where we can see it when we draw it from a structure perspective initially this is looking like a higher low and a higher high and we can see the V-shaped price action in between this market structure continuation and after the tap 1 reaches range low is in it takes way longer for price to reach that market structure high aka tap 2 and the V-Shape is basically an indication of all our range. While at the same time we have that very slow and consistent move up which basically goes hand and hand because the reason we have great time displacement is because of the slow and consistent move up. The slow and consistent move is leaving no demand behind, no inefficiencies behind, its just lows getting build up, while taking out the high, creating a broader V indicating we have a range in the making.

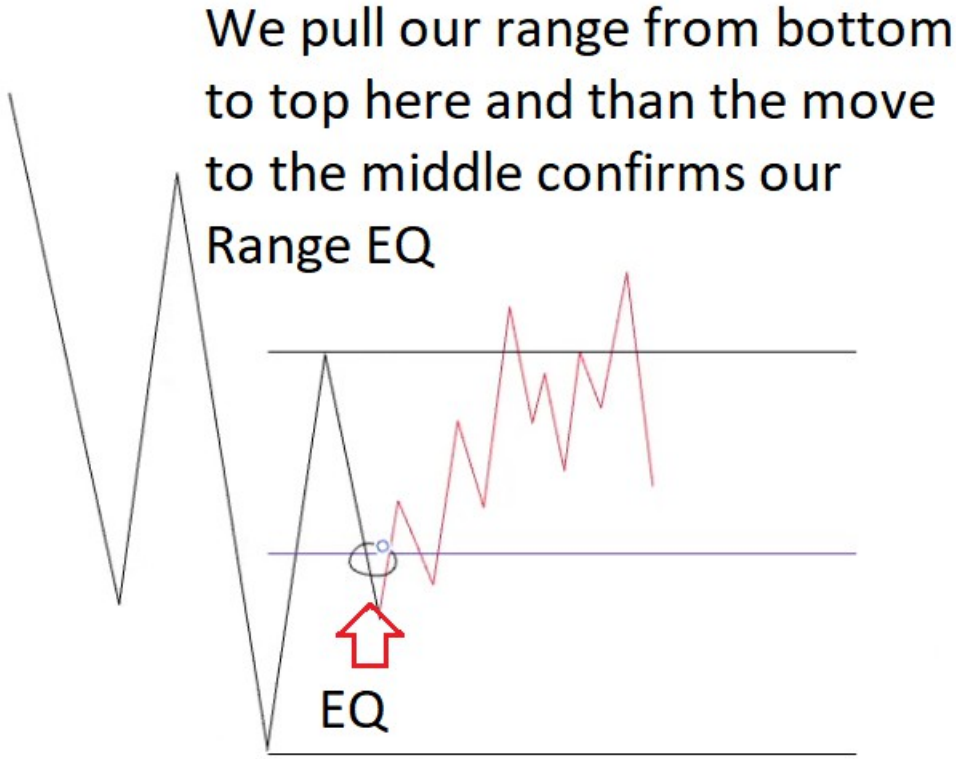




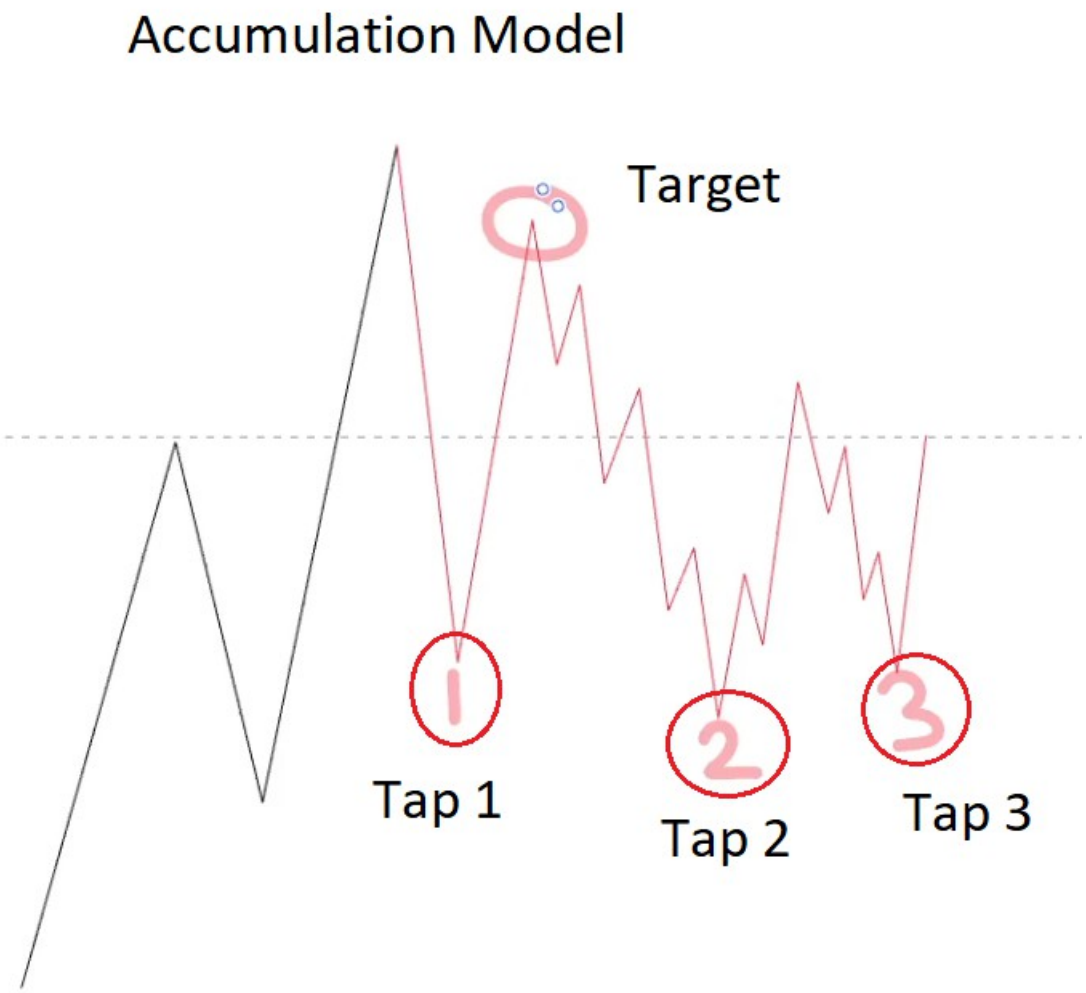
Bad Range does not have lows connected to a liquidity curve.



We draw the range with the purpose of trading potential TCT Models.

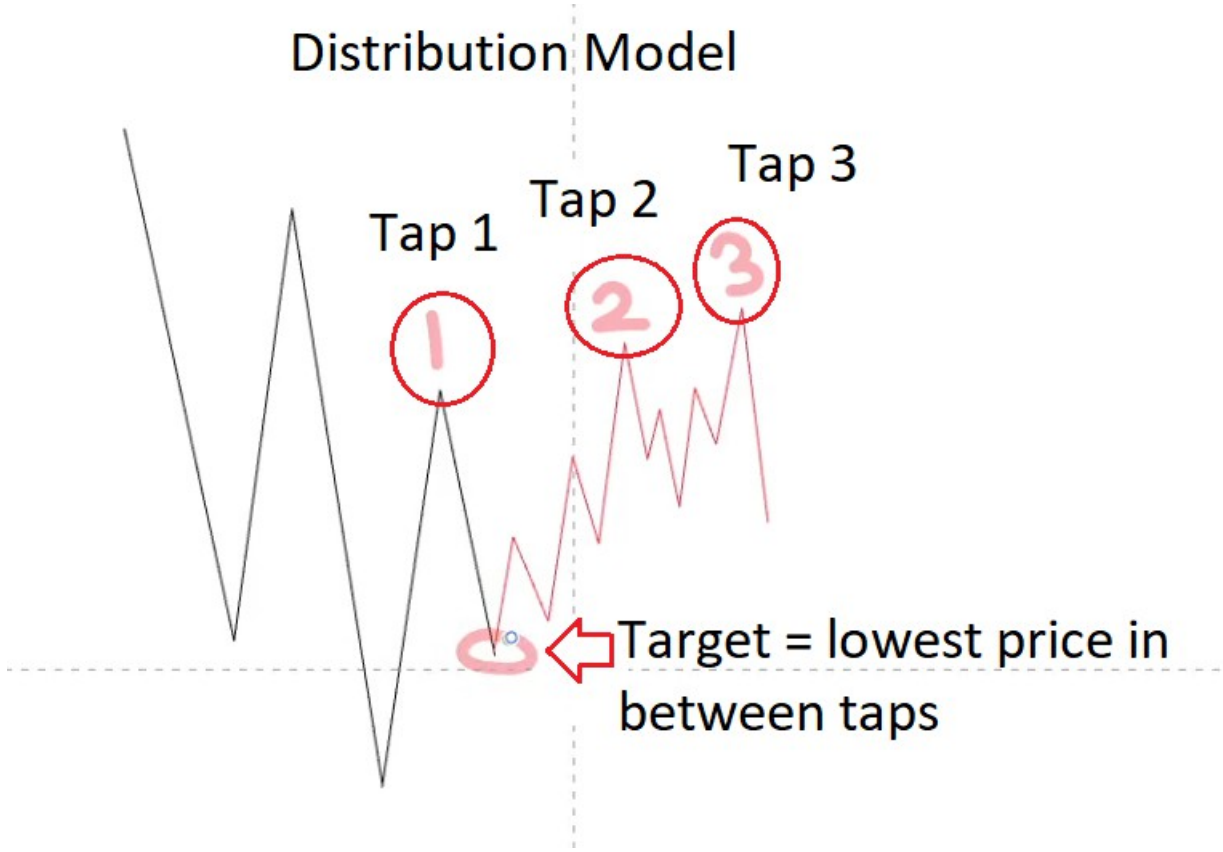


TCT Accumulation Model Example:

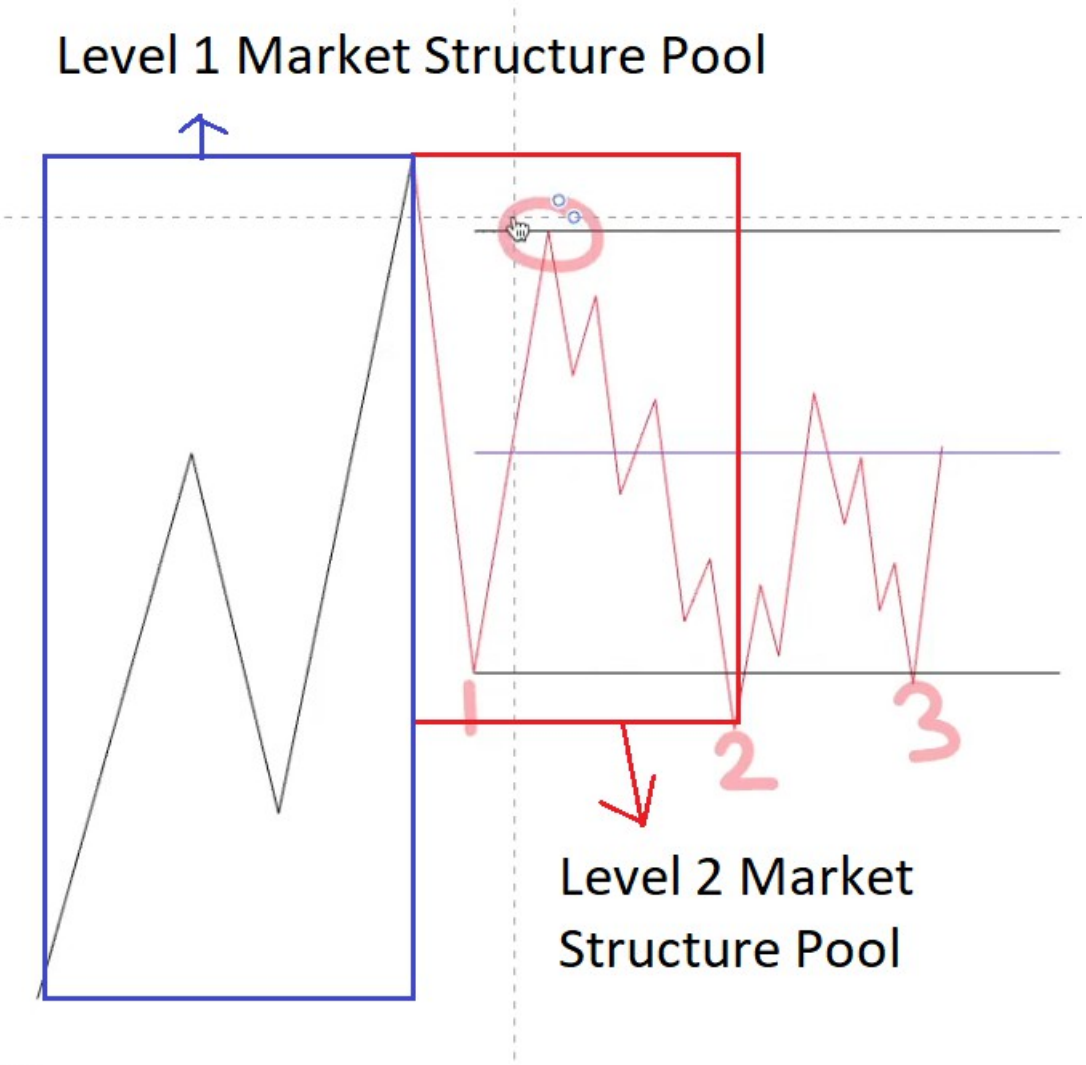


We have our Tap 1 followed by our range High which will end up being our Target for our Range if when we get Tap 2, and Tap 3 confirmations.

The Target for our Distribution Model will be the lowest price that price has traded in between our taps getting created:

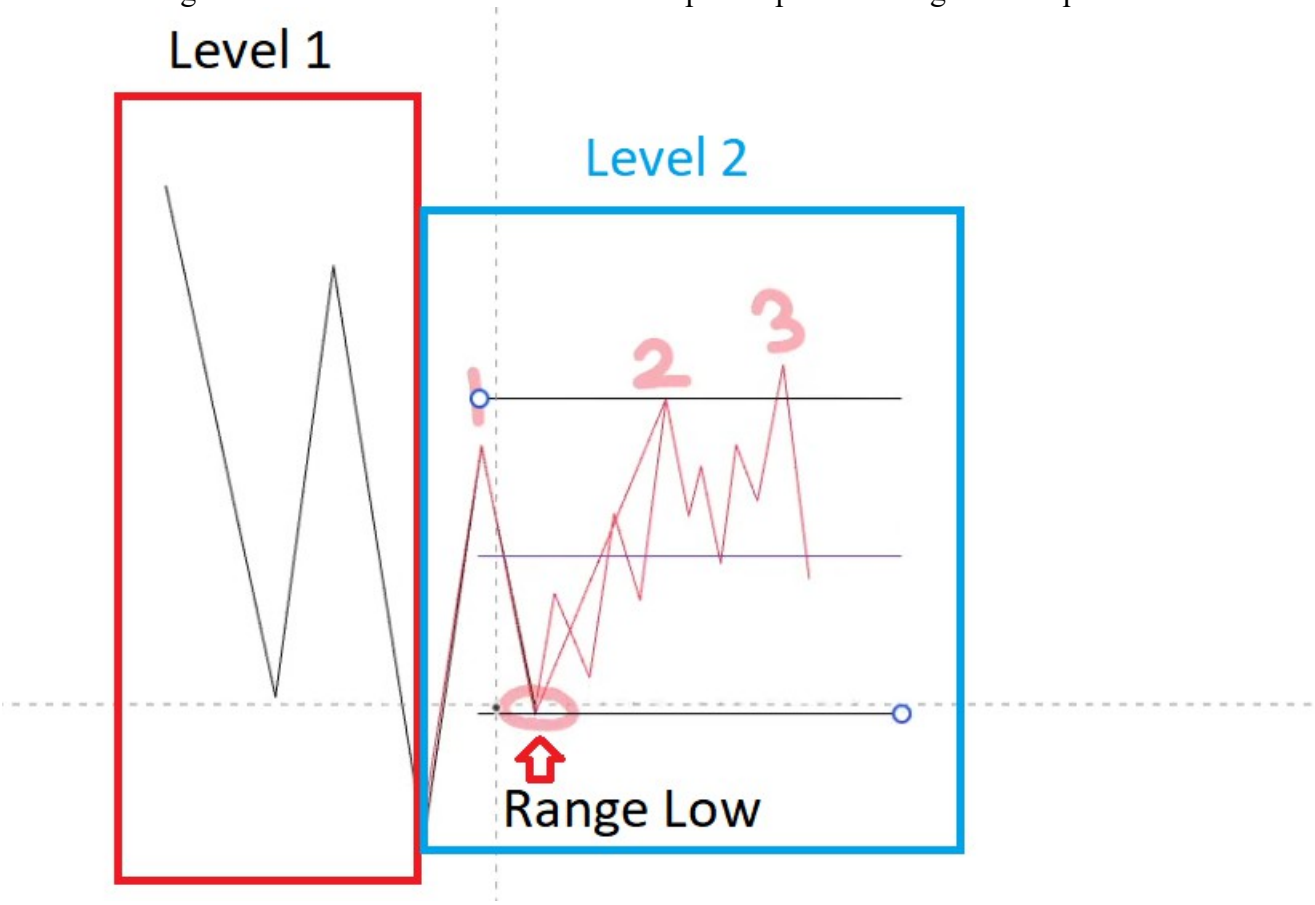


For this accumulation model we start by trending up here and we are creating this accumulation what we do is we follow that Level 2 market structure from top to bottom and use that as our focus for the downtrend and then use the rule that if we are down trending we pull our range from bottom to top and than if we look at the structure from top to bottom right there which is our Level 2 and we pull the range based off our Level 2 market structure pool right here and not our Level 1 than our range high is going to be matching our Wyckoff High like example below:

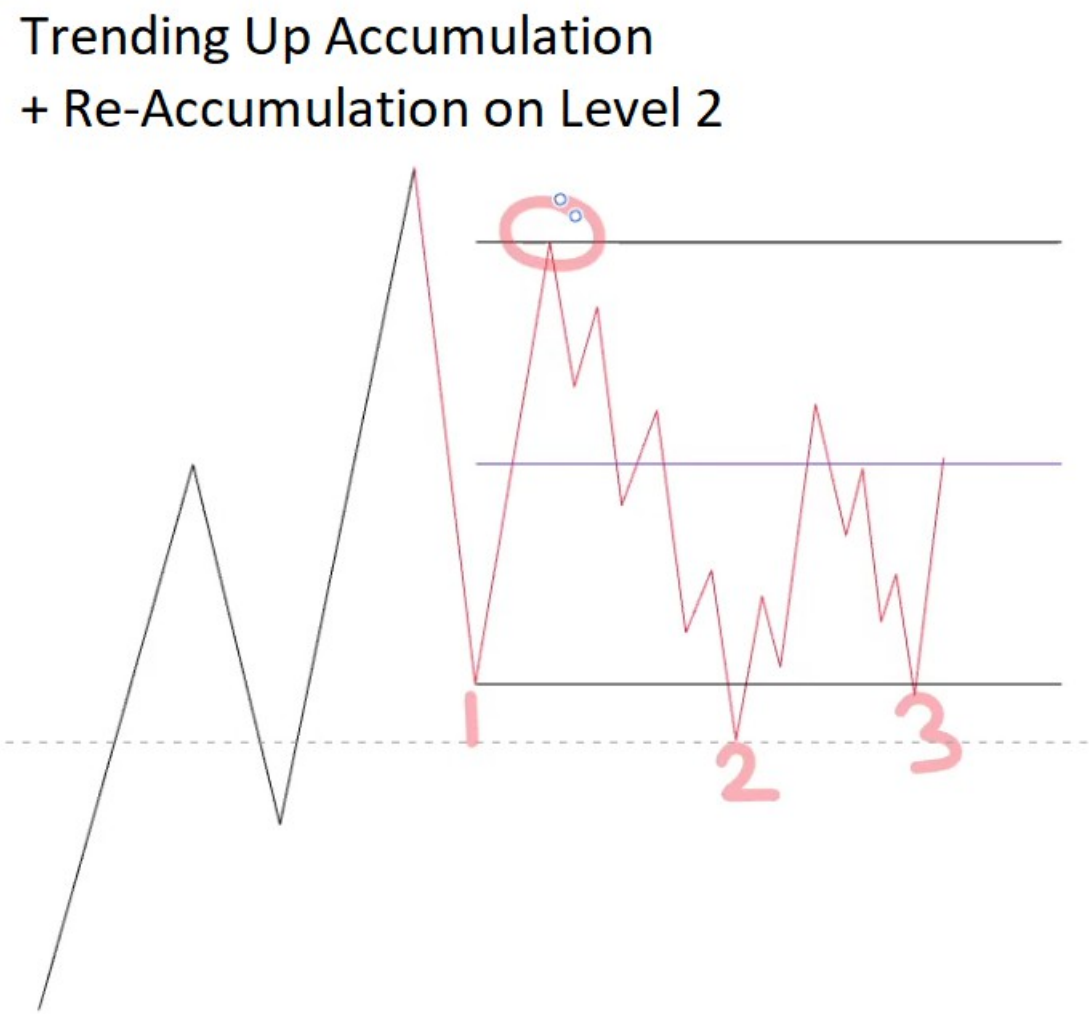


Next Example: When we are trending down right here and we are focusing on this distribution model

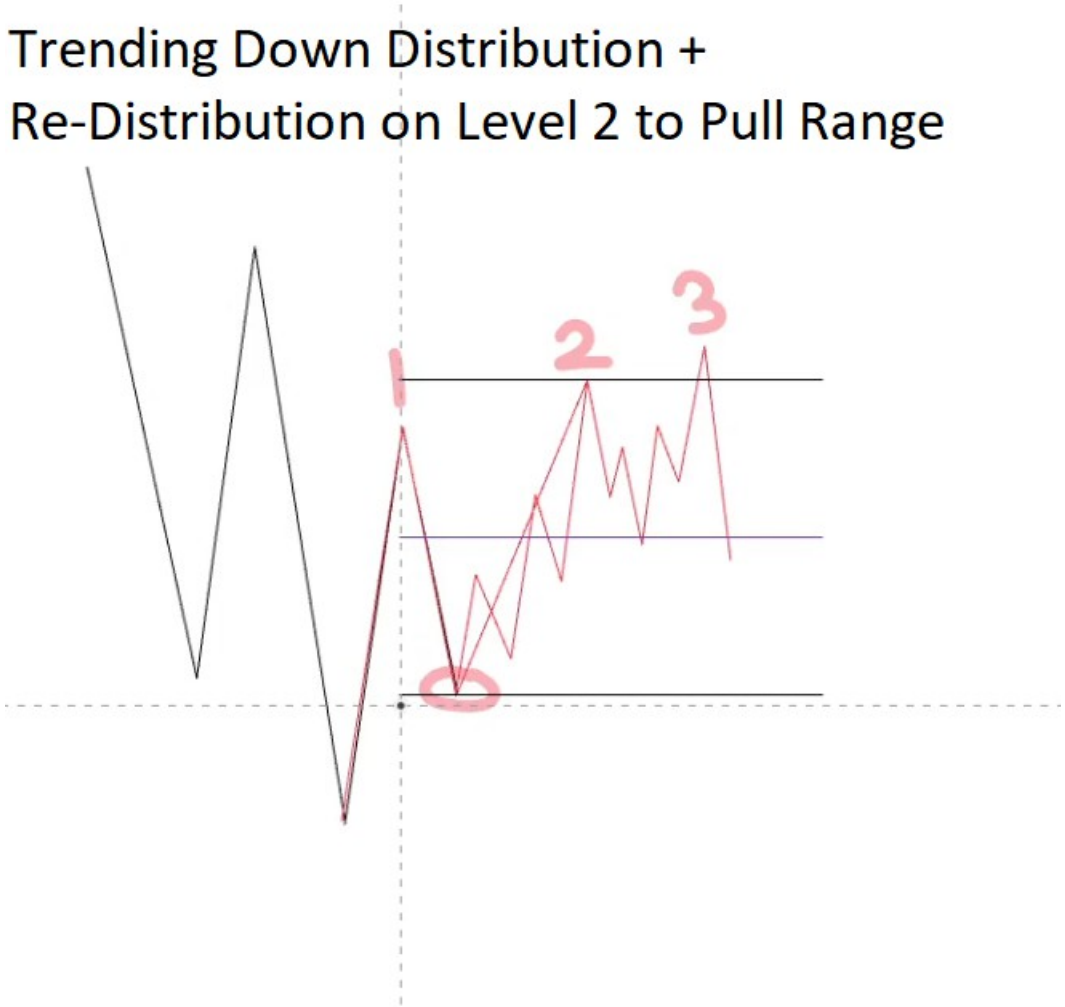
and we are trying to match our range low to the Wyckoff low than we are going to be following the market structure from bottom to top here. So our Level 1 is trending down and our Level 2 right here is trending up and that is going to be the market structure that we are focused on when pulling our range. So we focus right here on Level 2 because that is an uptrend pull that range from top to bottom.



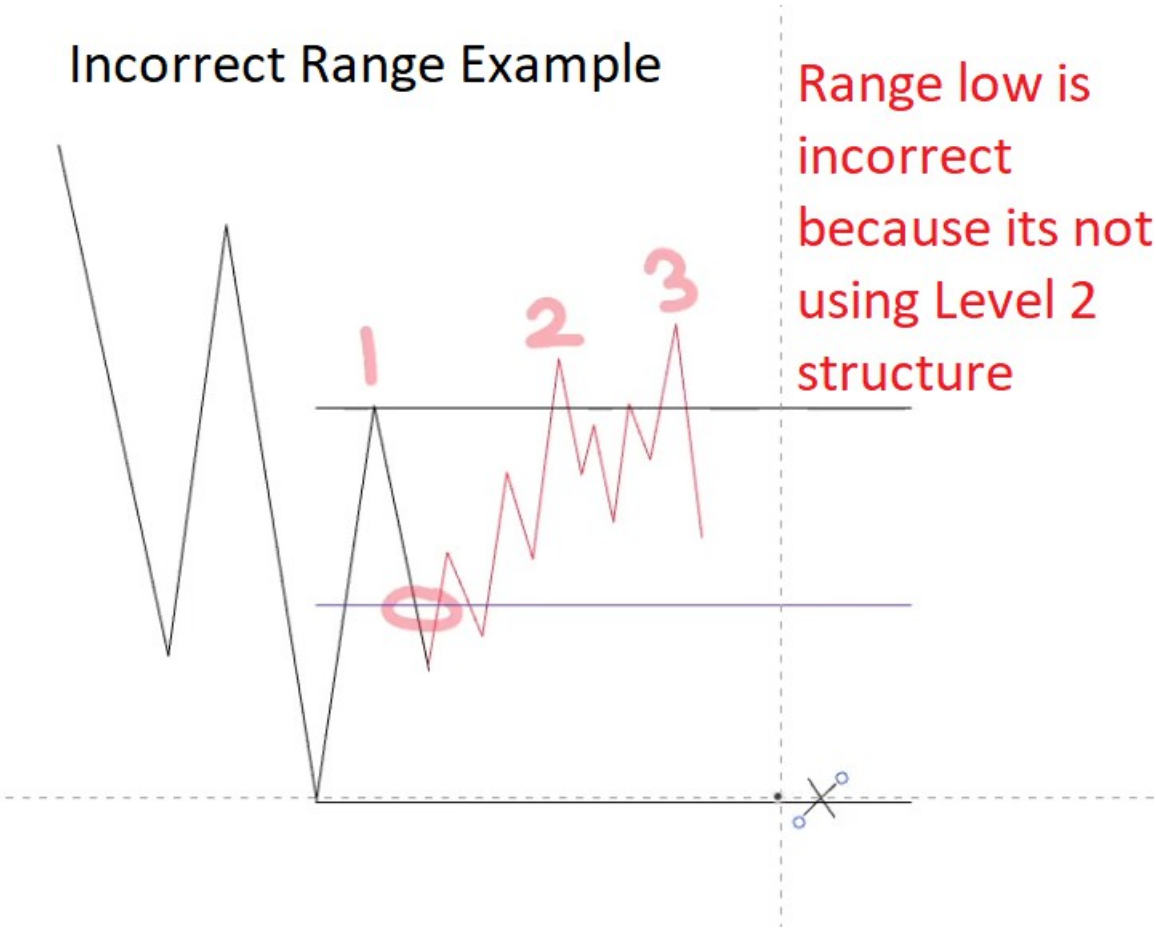
And this is always going to be the case when we are focusing on re-accumulations and re-distributions. So we are trending up right here meaning any accumulation in an existing uptrend will be used for a re-accumulation and we will be using Level 2 structure for our correct range so that the range high matches the Wyckoff high.



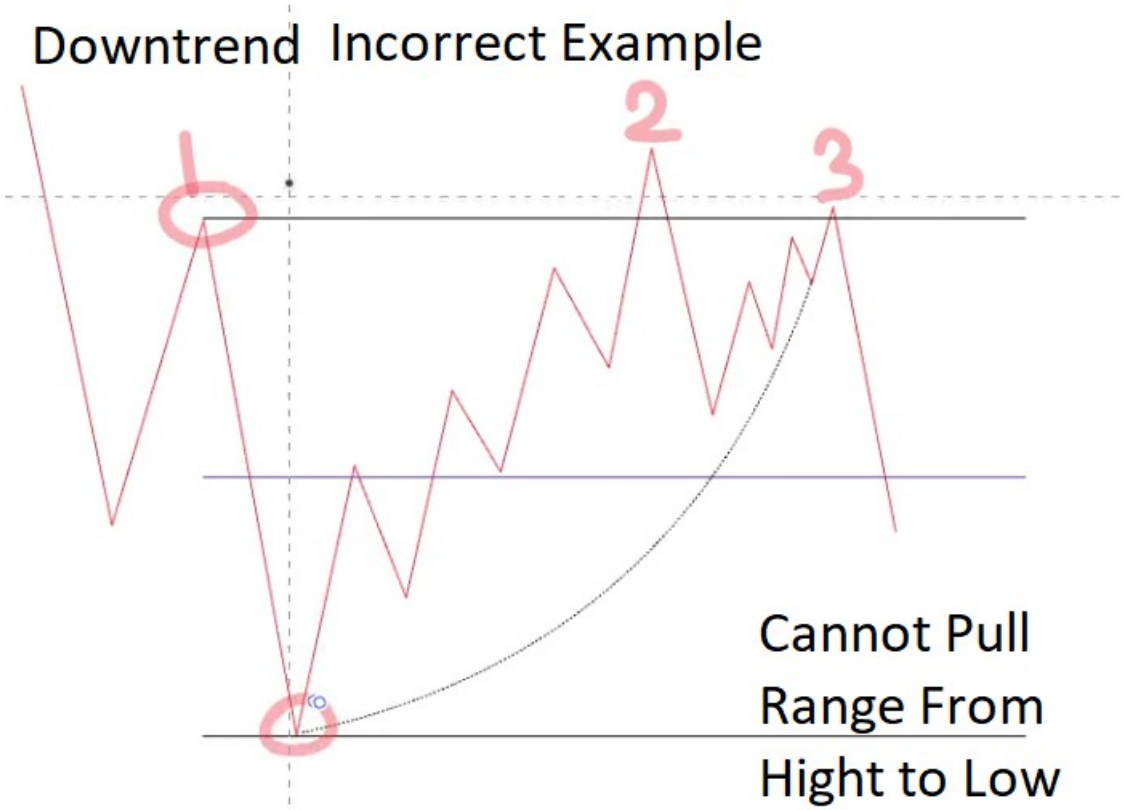
When we are trending down we will be in Distribution and going to be using our Level 2 structure to pull our range for a re-distribution where the range low is matching with the Wyckoff low.



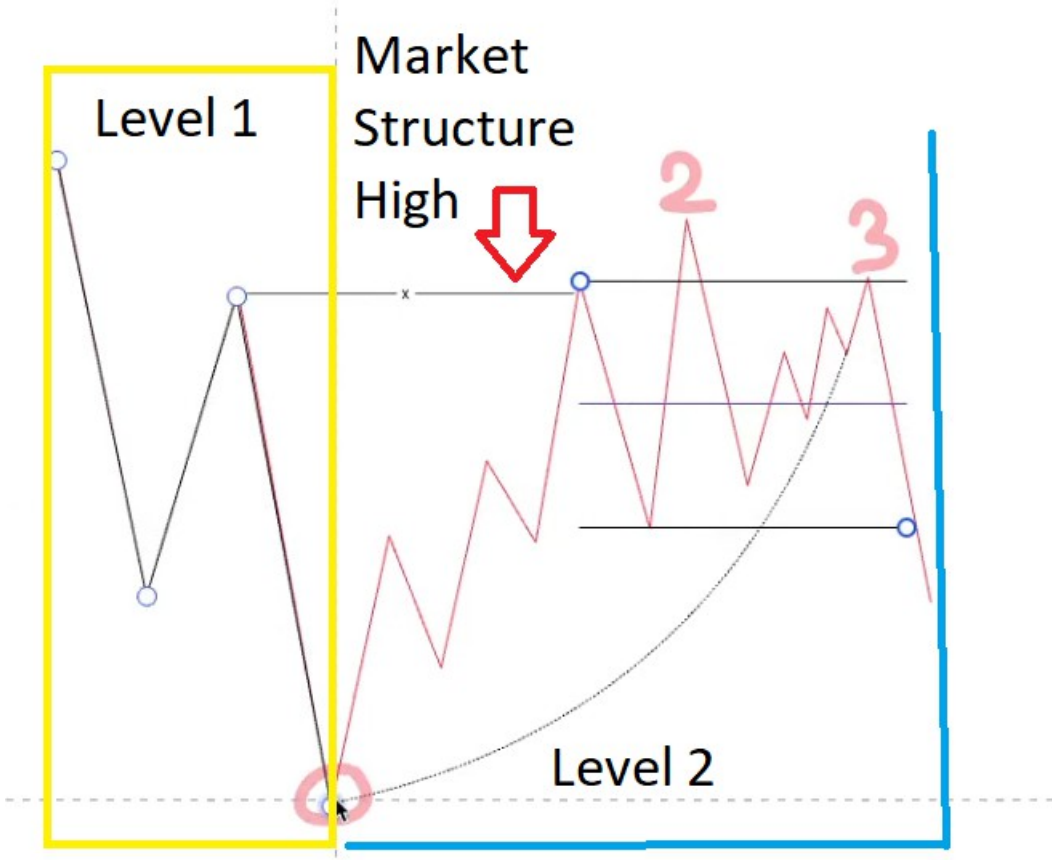
Incorrect range pull example below where the range low is being pulled from Level 1 structure and not Level 2. The incorrect range will than have the trade targeting the Level 1 range low and therefore the range EQ is really where the Target should be but the incorrect range pull was what made this trade setup wrong:



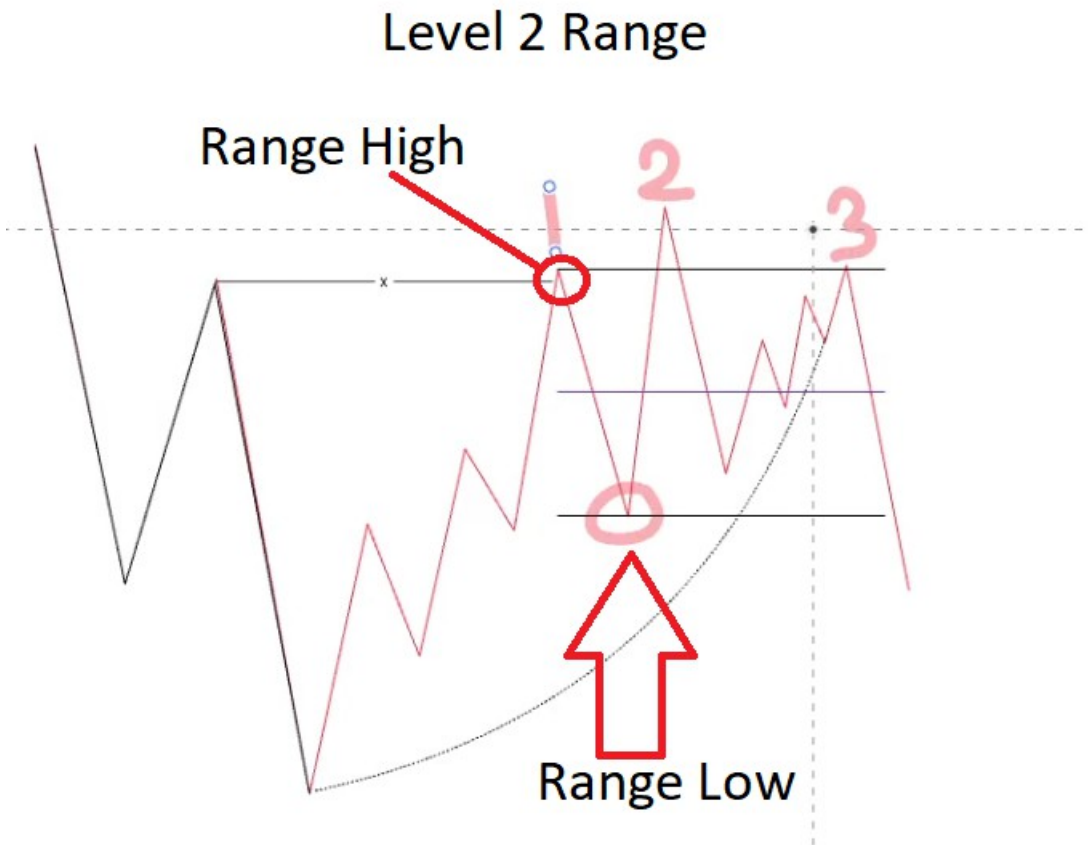
Another Incorrect Range Pull Example 2. When your trending down you cannot pull your range from high to low it must be pulled from low to high:



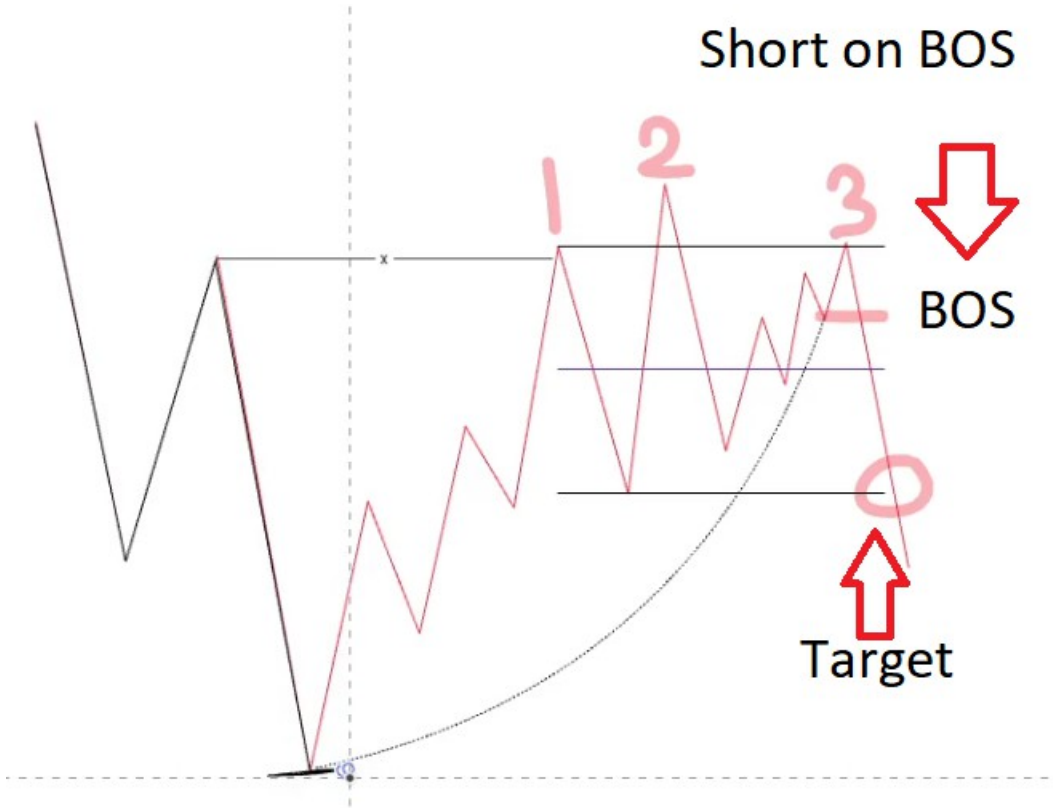
When you have a downtrend that looks something like this you follow your market structure to find your range:



Once Level 2 hits Level 1 Market Structure High than establishes a Low you Pull your range from top to bottom because its trending up inside Level 2. So the Level 2 range would look like this:



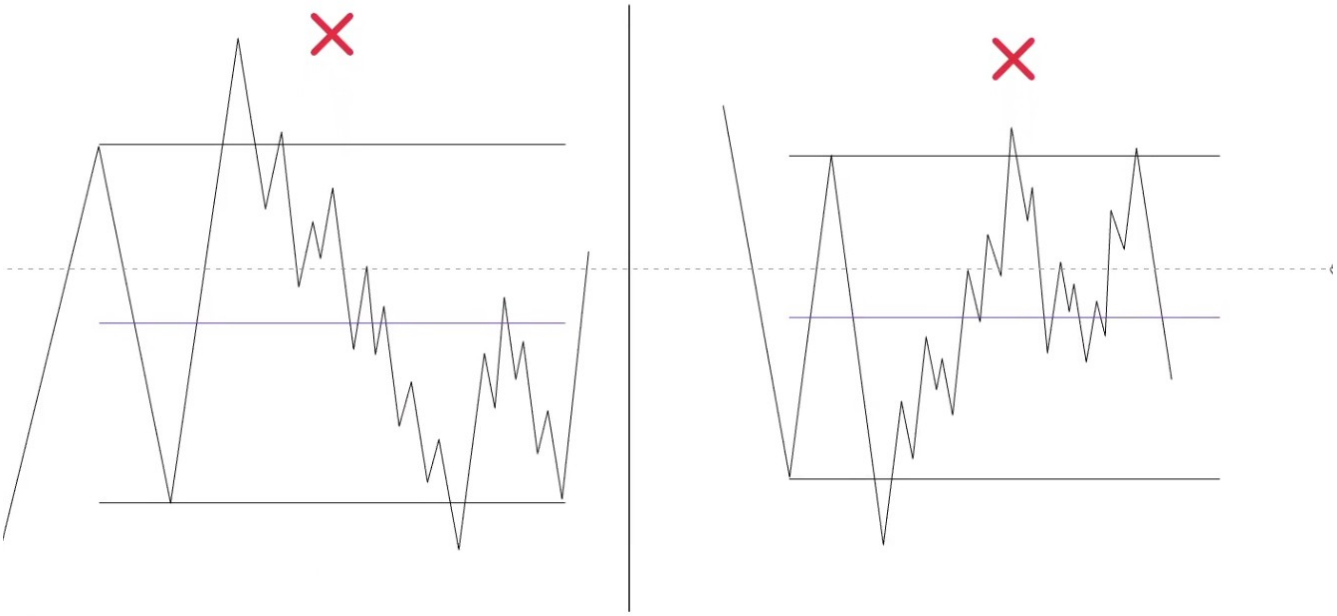
So your short trade would happen after that Tap 3 and on Bearish BOS. So your entry and target would look like this:



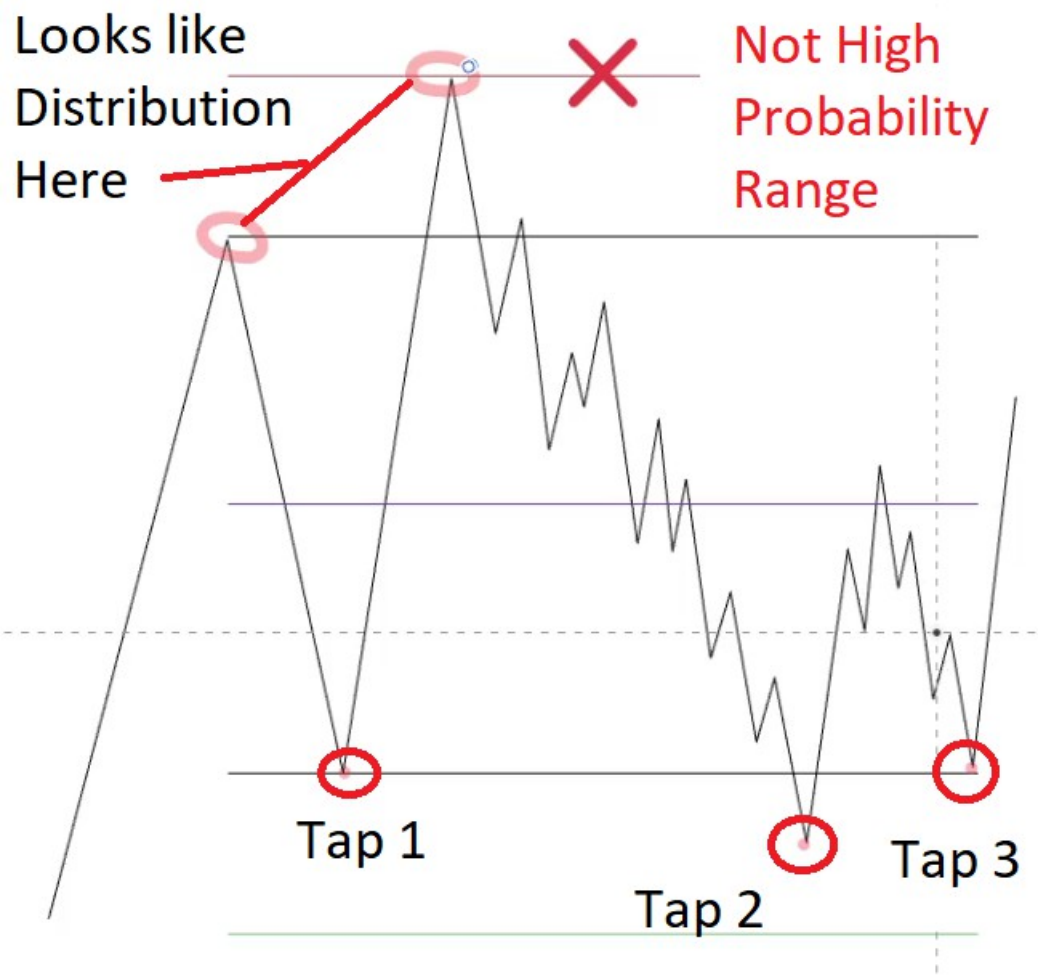
I guarantee you will not make the incorrect range pulls as stated on page 13 “Another Incorrect Range Pull Example 2” if you map out your market structure and than pull the range around those different market structure pools. Its only when you look at the chart quickly without properly identifying your market structure that you are vulnerable to wrong range pulls. So always map out the market structure, remember that when you are trending up you pull your range from top to bottom, and when you are trending down you pull your range from bottom to top while being aware of the difference between your range highs, and Wyckoff highs. In a uptrend in a re-accumulation always focusing on a Level 2. And for a distribution in a down trend re-distribution also always focusing on Level 2 you cannot go wrong with drawing your ranges. You might have to really remind yourself when starting out with all these different rules but after awhile its going to become second nature to you.

Accumulation into Distribution clarification (vice versa)

Accumulation into Distribution clarification (vice versa)

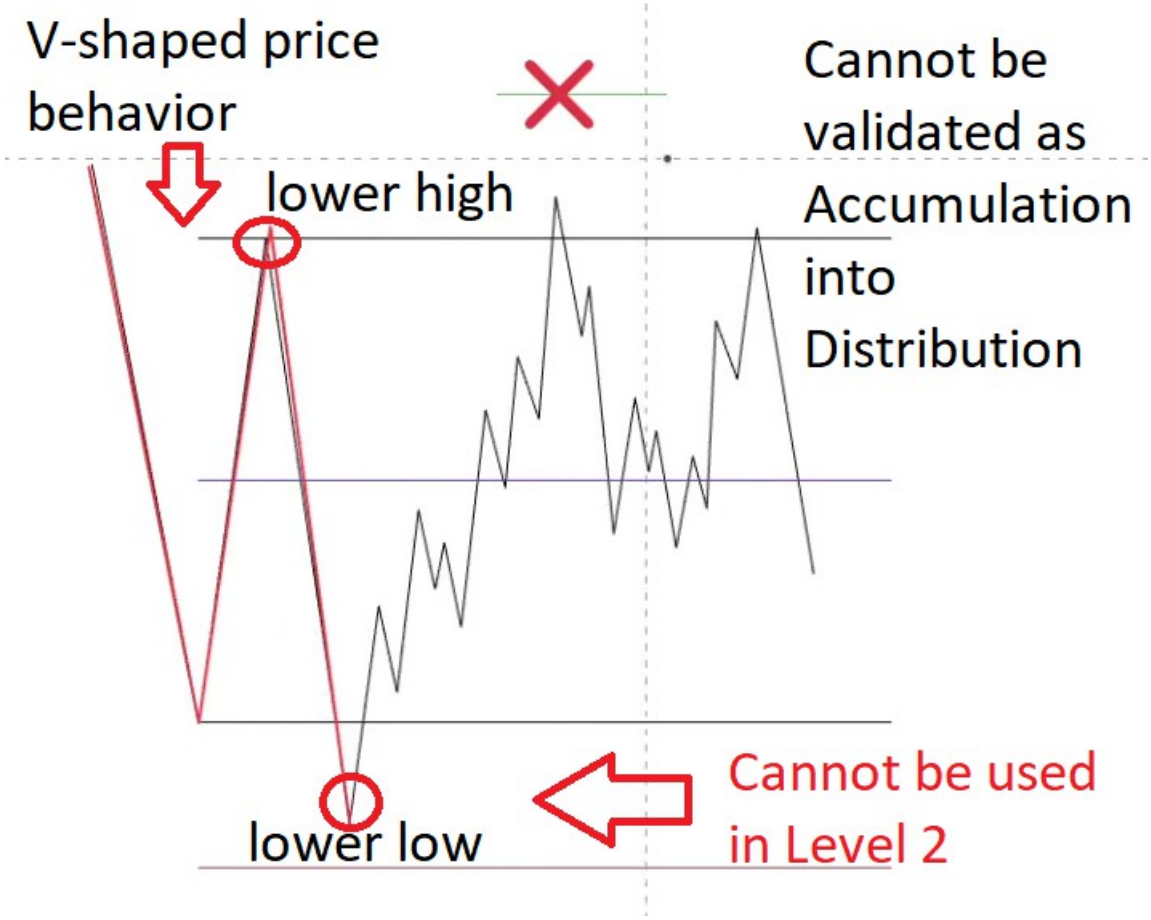


1st Incorrect Distribution to Accumulation Range Pull:



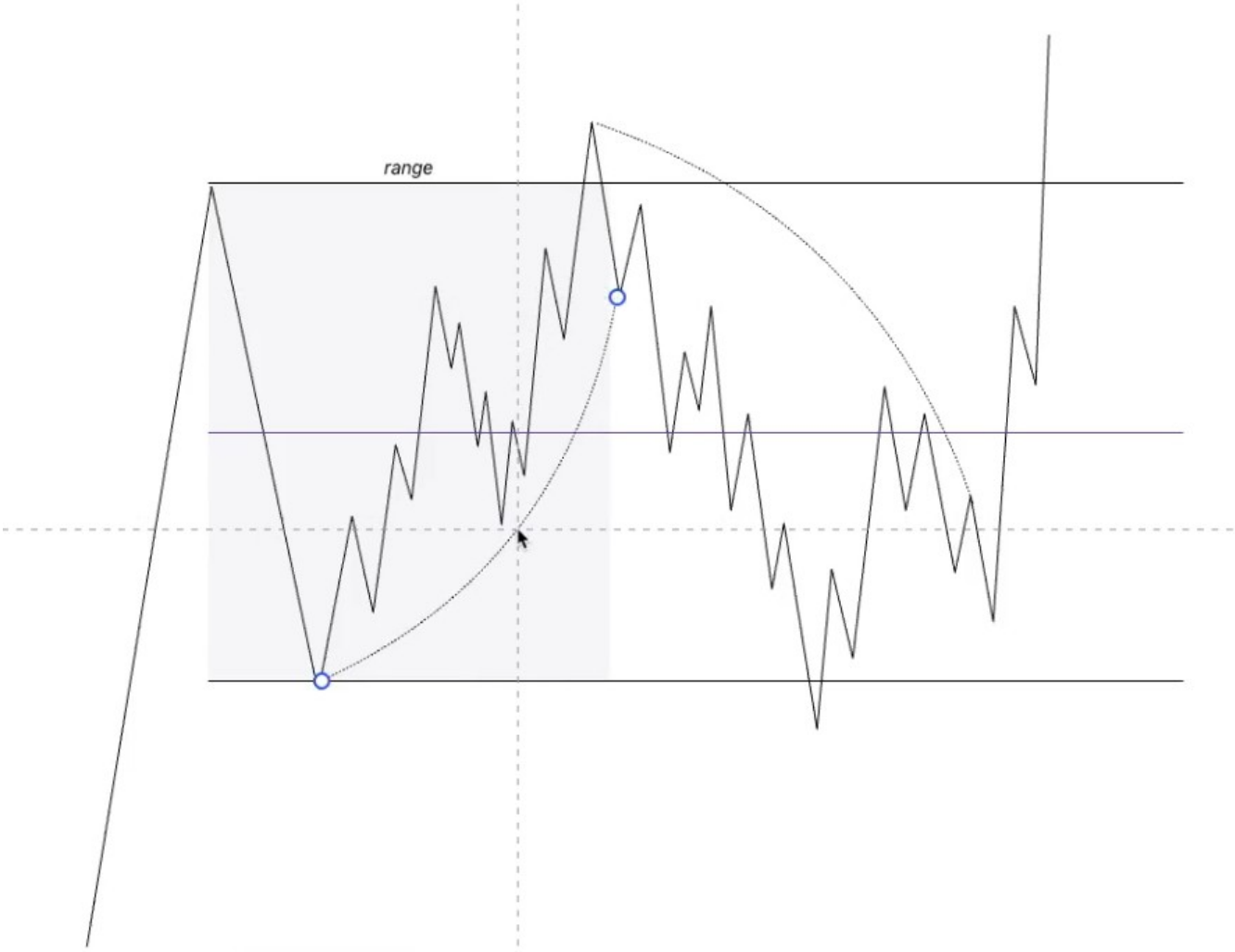
This not a high probability range above. A high probability range is one in which from the starting point has been building up liquidity. We cannot be validating this as a failed Distribution that goes over into some sort of Accumulation. I do not care how high quality the return to zone looks when you are drawing a range and focusing on the potential TCT entry that range starting point already needs to be high probability and therefore having a range starting point that initially simply had V-shaped price behavior and made a higher low for a higher high like this; is not high probability behavior as the starting point from your range and therefore this cannot be used as your range starting point because high probability ranges have high probability price behavior when starting the range. So this can't be validated. And the same goes for the other way around.

Incorrect Example 2: right here we can clearly see V-shaped price behavior making a lower high for a lower low therefore this is considered market structure and this is not a failed accumulation model where this bottom low stays in the L2 where therefore we can look at this as some sort of Tap 1, 2, and 3 example. High probability TCT models have High probability ranges and high probability ranges are from the starting point of the range and this can't be validated as some sort of accumulation into distribution.



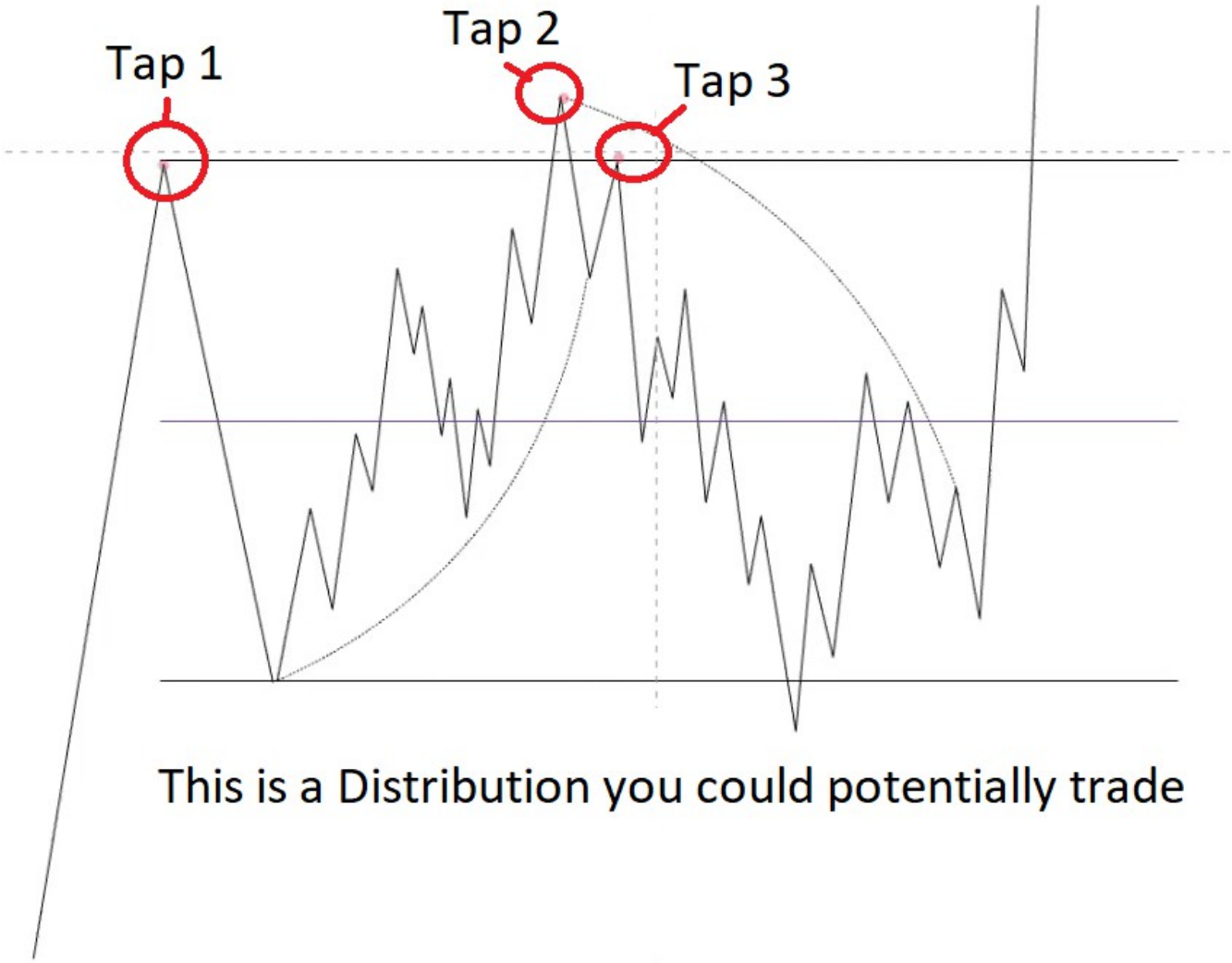
When we are actually trading accumulations into distributions that can only be when we have a high probability ranging environment because thats the only way your actually having any sort of distribution or accumulation if you want to trade in the first place and therefore you can see that right here price is trending up and we have a higher low for a higher high and on the way up towards that deviation of the high we have established a high probability ranging environment where price took its

time coming up towards that high building lows below which indicate sell side liquidity. Just like this:



So we have a high probability ranging environment and therefore we can look for potential distribution models.

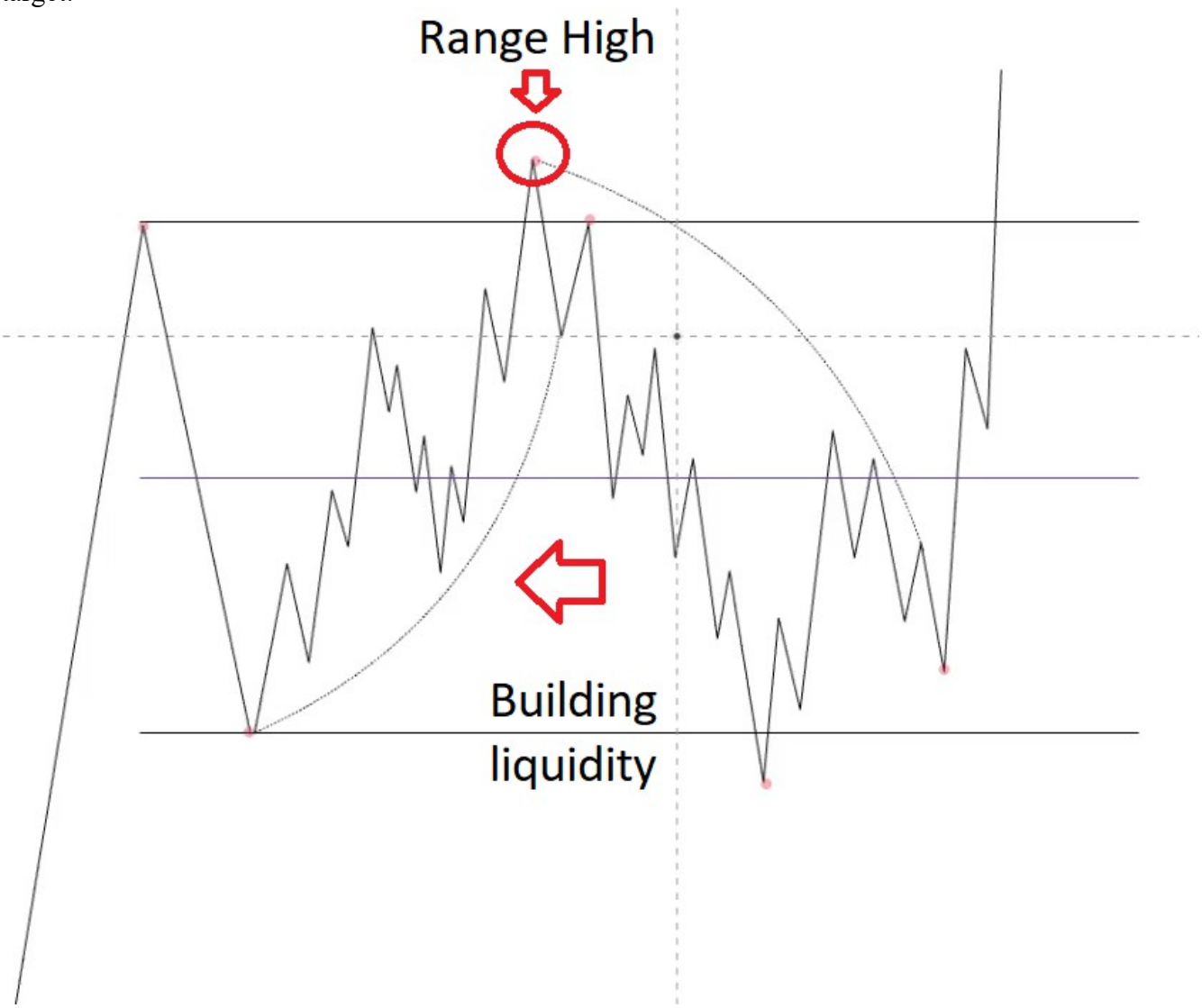
Now lets say we have some sort of a Tap 1, Tap 2, and a Tap 3 right here:



Im only going to be interested in trading a Distribution into an Accumulation if the move down towards your technical target is already building a lot of buy side liquidity because in this case we are only focusing on distributions turning into accumulations. When you have Accumulations turning into Distributions its vice versa.

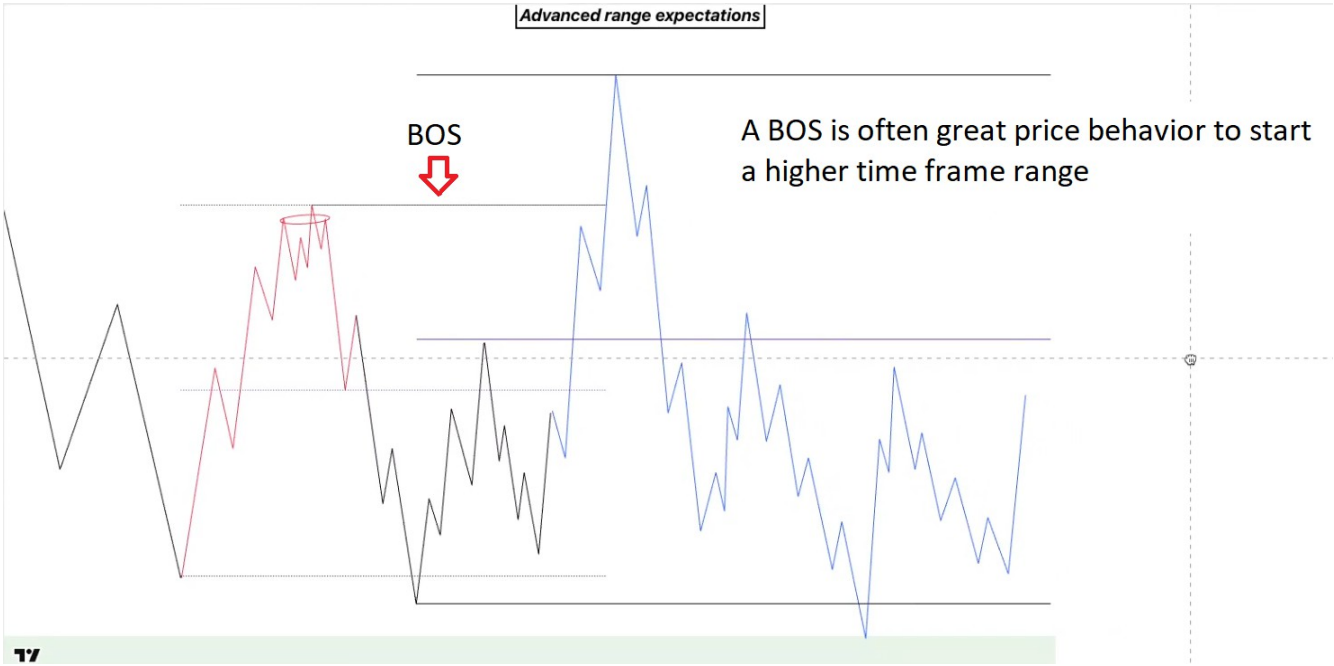
So basically if you have your distribution right here and on the way towards the take profit target which is going to be the range low. If on the way there we are super slowly coming down building a lot of buy side liquidity already which is probably going to be very annoying if you are actually in the trade short only than will I be interested in trading it into a potential accumulation because while coming to our technical target we are already changing the liquidity game meaning that initially we had this sell side liquidity curve below which is the reason why we took the distribution in the first place because that created that first high probability variable which I will be diving into more later on. But on the way of grabbing sell side liquidity you are already immediately creating buy side liquidity and the market moves from liquidity to liquidity. So only if on the way of sweeping this sell side liquidity we are creating a lot of buy side liquidity will I be interested in turning in the distribution trade into potential accumulation.

Accumulation into Distribution Example:
We can simply invert the chart and look at it from the exact same way where if we have the accumulation we are only going to be taking the accumulation if you got that beautiful buy side liquidity curve that establishes that high probability environment and only if along the way towards that range high if along the way we are already building a lot of sell side liquidity which can only be created via a slow grind up towards the range high will I be interested in trading it into a distribution and obviously context will be playing a big part as well for if we are overall bullish and we see something like this develop that will act as obviously plus 1 confluences to the accumulation plan playing out because overall we are expecting higher prices. But if im trading accumulations to distributions which does not happen that often it will be from this perspective and these will be the requirements. We will already need to be building all this liquidity in the opposite direction while coming to our technical target.



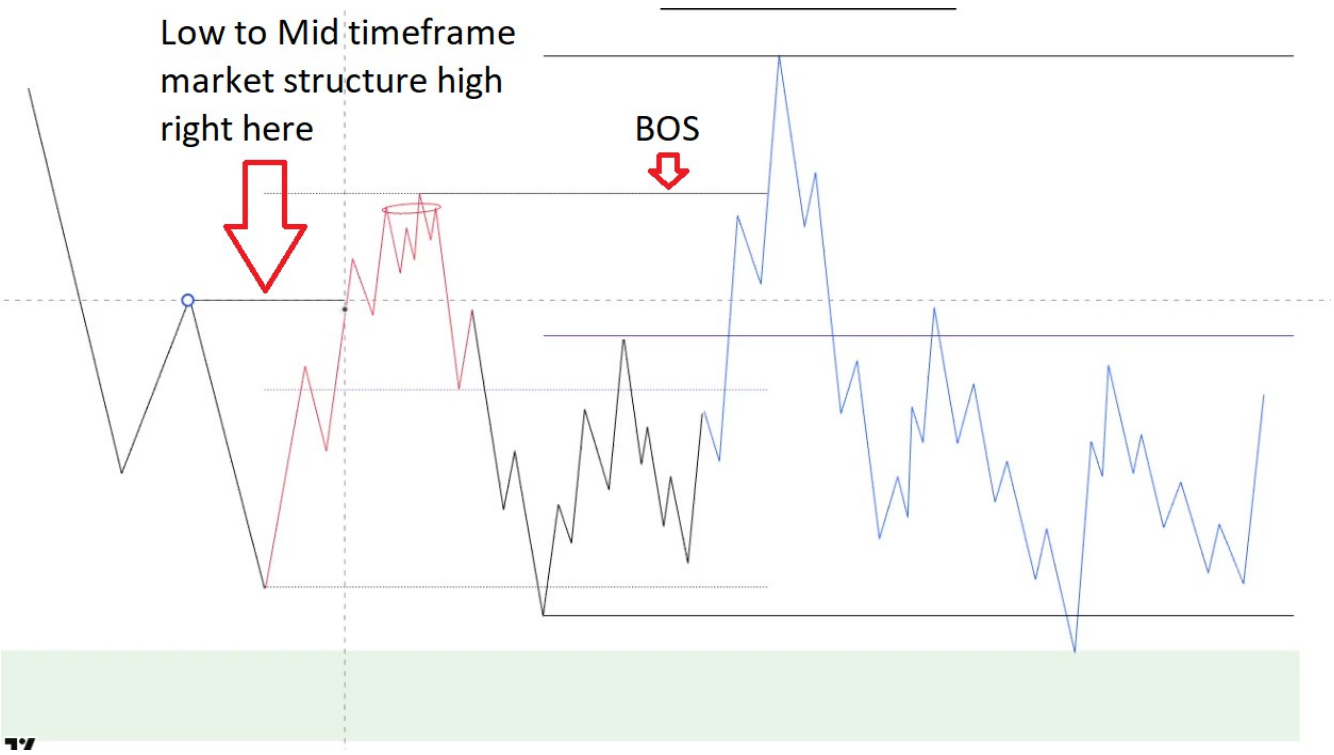
Advanced Range Expectations:

1. Distribution models can create the high of your higher TF accumulation range
2. Accumulation models can create the low of your higher TF distribution mode
3. A BOS is often great price behavior to start a higher TF range

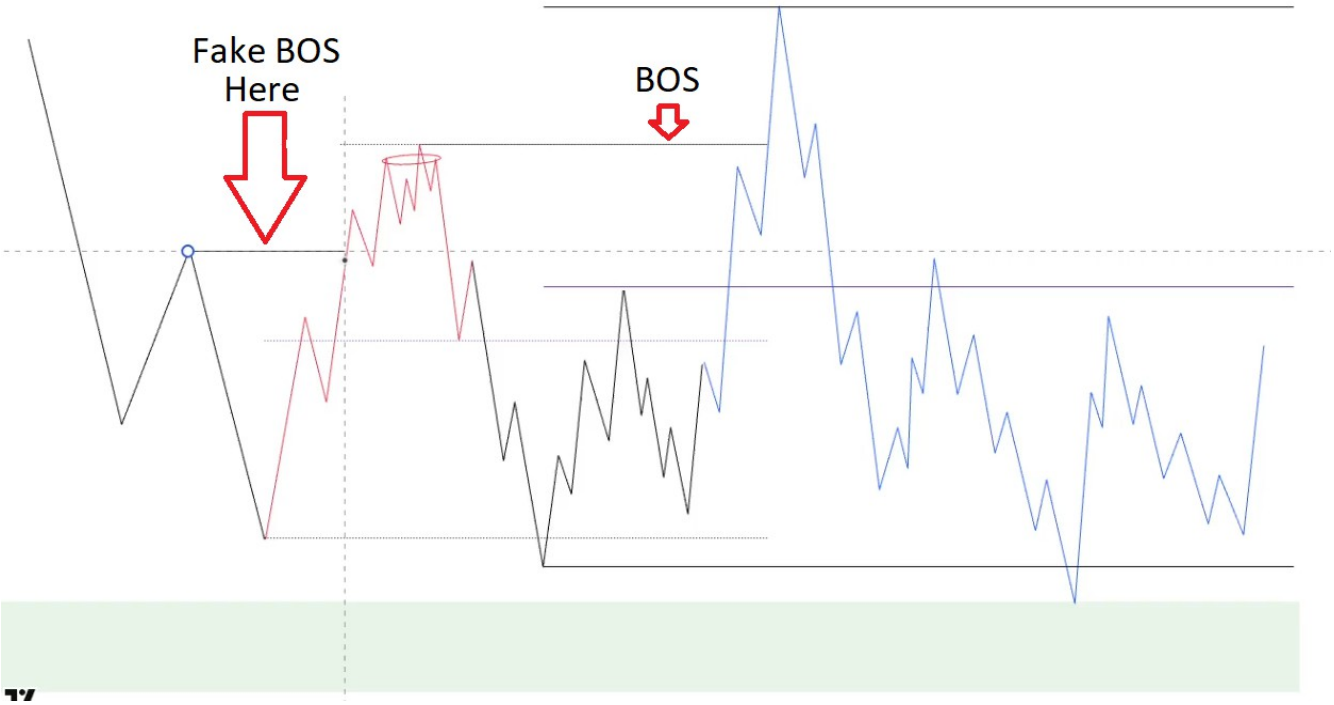


I have already elaborated(0719_1_REVIEW17Pages.pdf) how LTF ranges go over into MTF ranges that go over into HTF ranges.

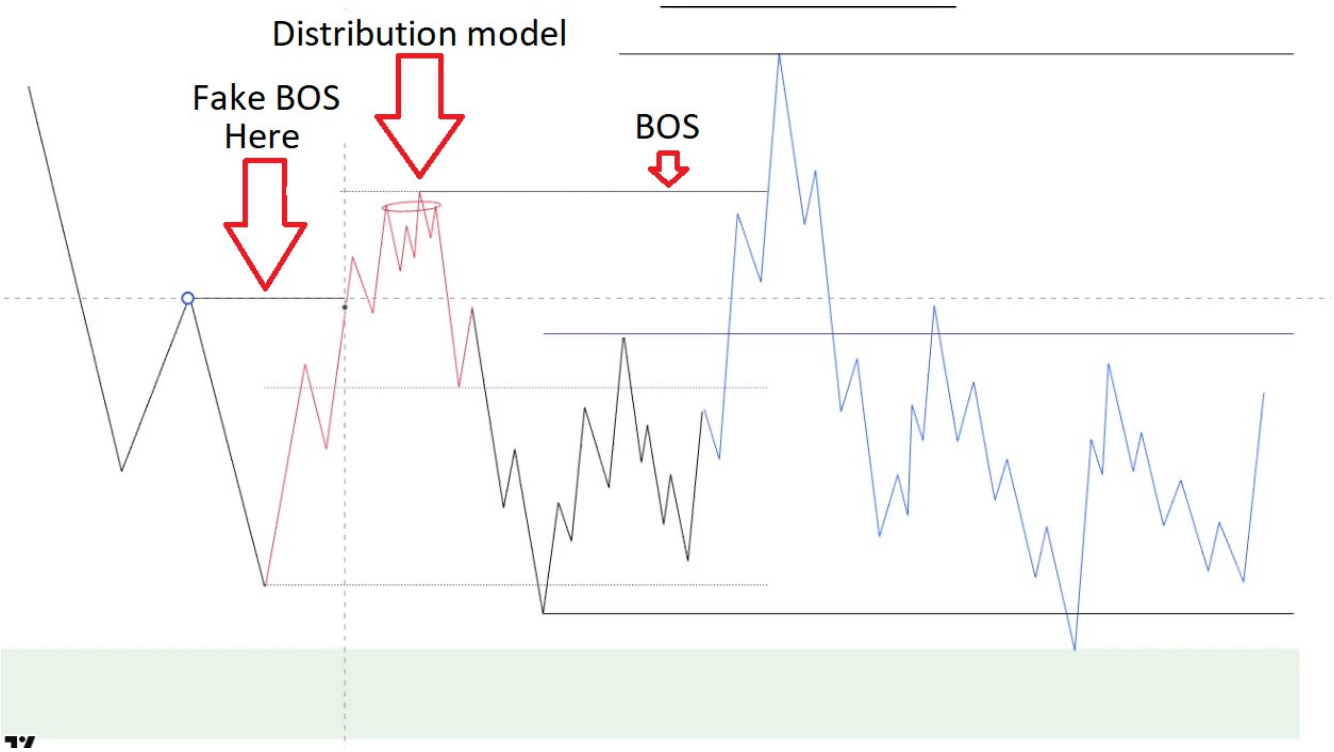
So in the screenshot above price had a very aggressive expansion towards the downside and right below we have a higher time frame key demand level. This could be either a good looking structure demand, good looking order block, or maybe even good looking liquidity level. If its a good looking support level where equal lows are maybe taken out, good liquidity/demand POI. We just got an aggressive expansion towards the down side. This being our Low to Mid time frame market structure high right there:



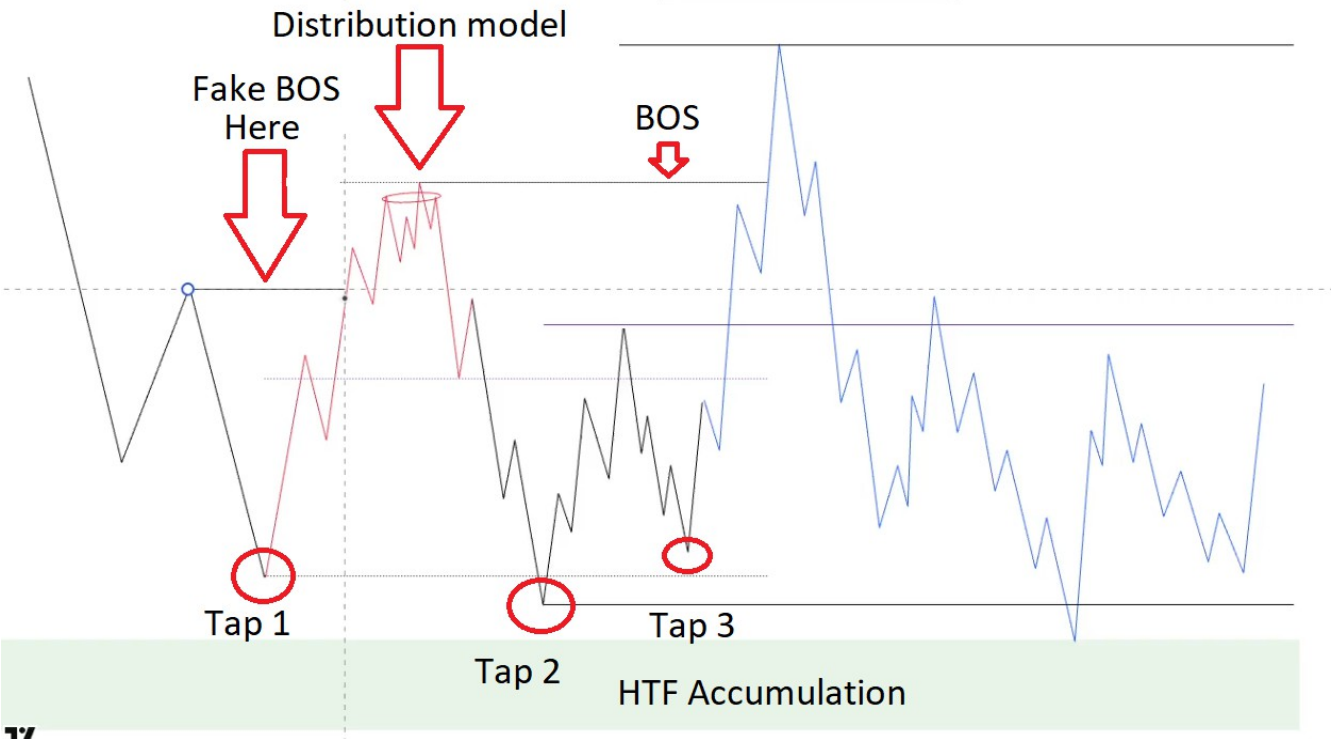
It is a very common in the range process to get some sort of a fake break of structure here:



That follows with a distribution model:

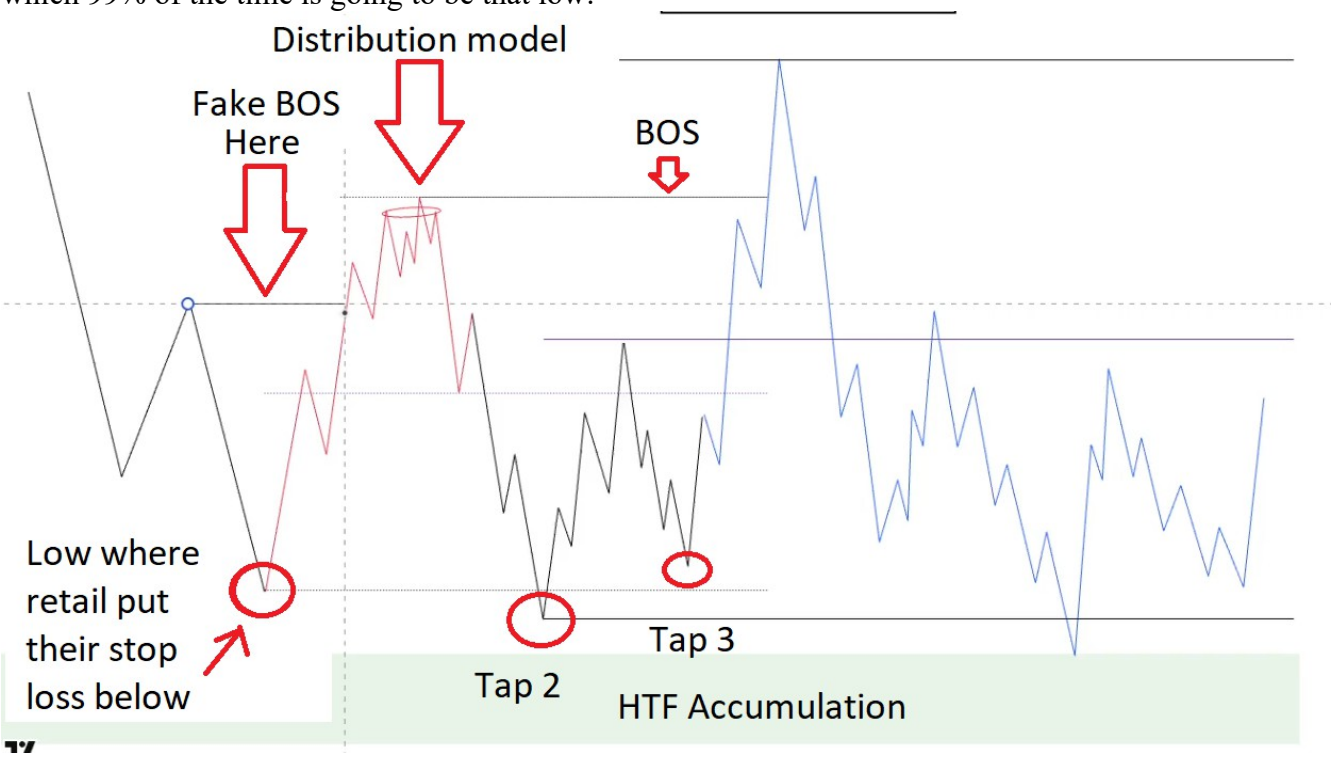


That than recovers the entire expansion towards the upside. Confirming this as a fake break of structure. To than start our higher time frame accumulation Tap 1, Tap 2, Tap 3 here:

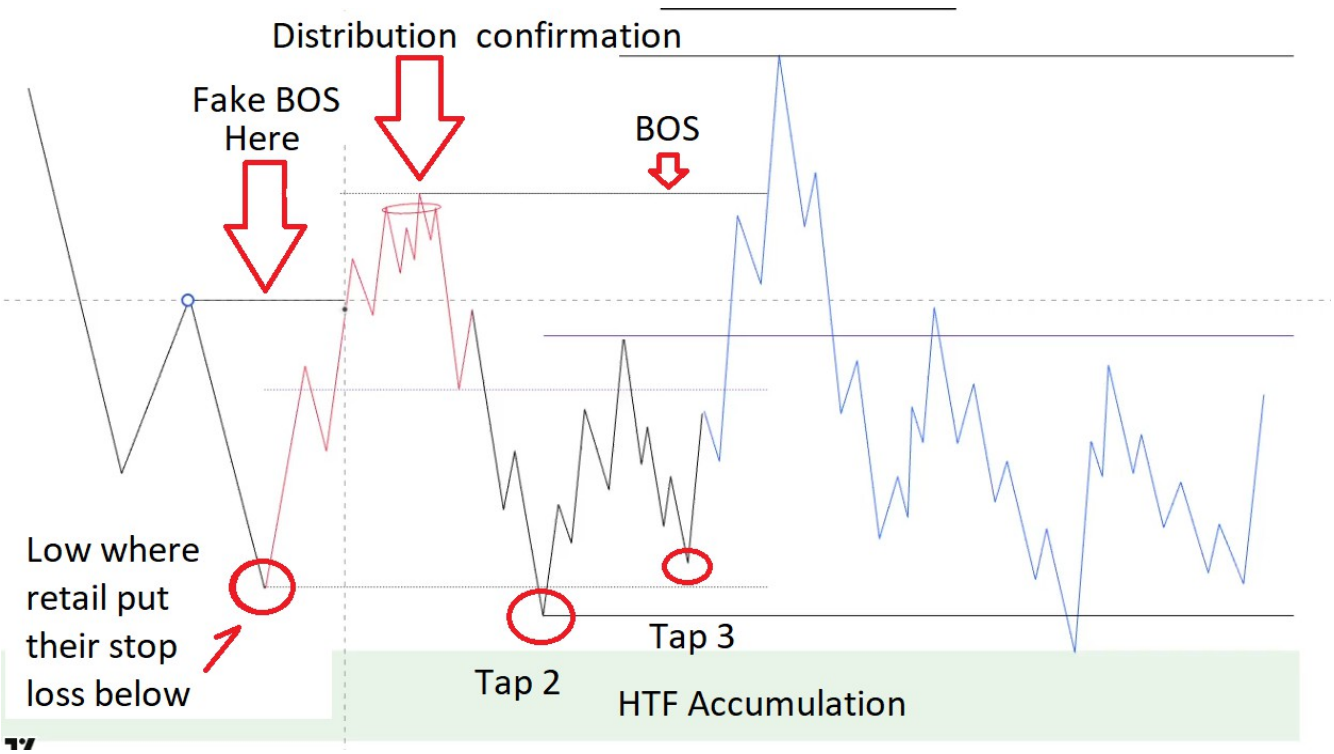


That is the first thing I want you to be focusing on. This is an extremely typical playbook for market makers to establish proper ranges. They will use a low to mid time frame could sometimes even be high time frame depending on what you are focusing on, what size you are focusing on. But you will get some sort of a Bullish Break of Structure where in between this expansion towards the low and high you don't really have any super good looking demand POIs maybe just normal structure demand POIs

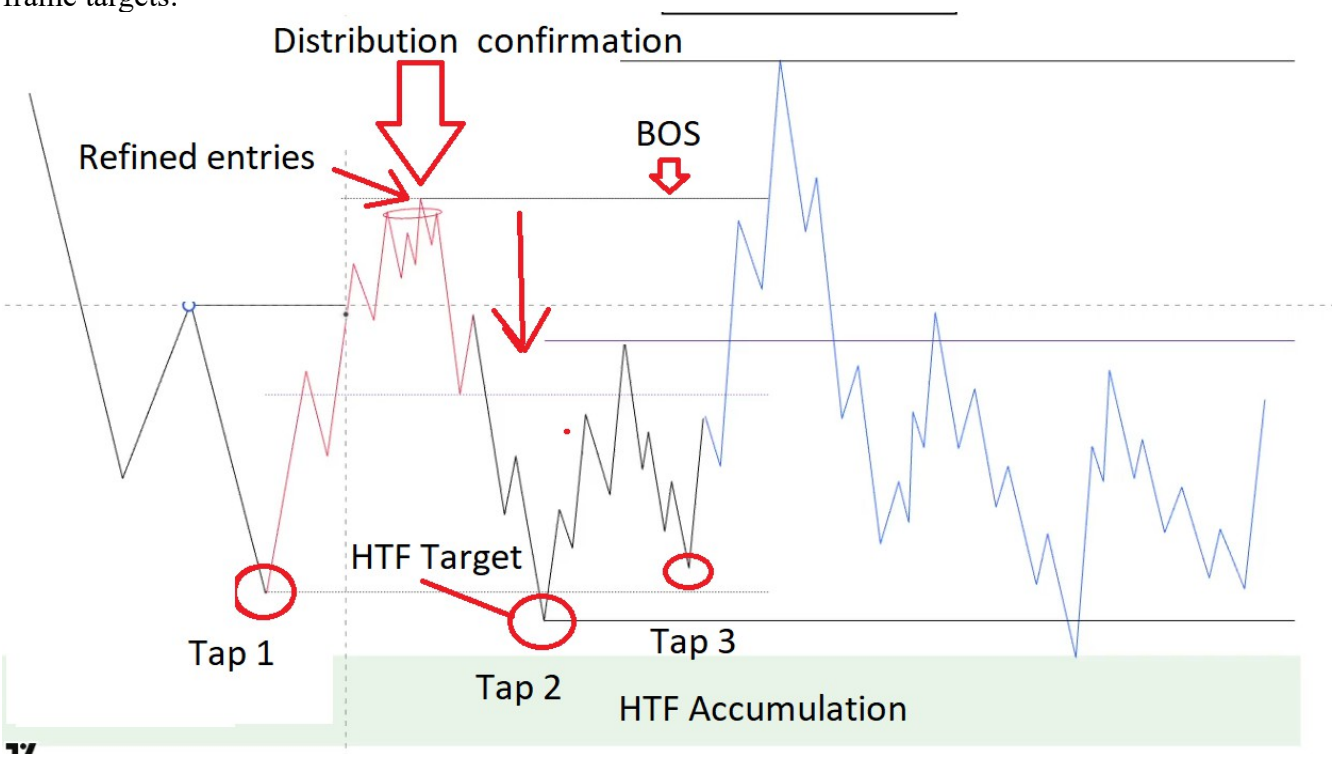
but nothing really that special. And than after that break of structure you will get some sort of a distribution that recovers the entire expansion towards the upside to create the proper ranges. Now the reason why this works so good is because this break of structure lures in a lot of retail traders that can establish some sort of market structure right. Market structure is a known concept the way we use it is pretty unique with the 6 candle rule to truly establish proper market structure pools but overall retail can understand shifts in structure and therefore when you have a bullish break of structure expectation order flow for retail will be a higher low for a higher high and than lots of retail will look to find some sort of long confirmation on the break and therefore put their stop loss below the previous swing point which 99% of the time is going to be that low:



Therefore getting some sort of a fake break is already an opportunity for sweeping some liquidity on the 2nd Tap and start your accumulating process because now that people that longed that initial break of structure now get stopped out. Because 99% of the time they put their stop loss below the previous swing point. Understanding this concept also allows you to get a very high RR opportunity once you get that distribution confirmation right here:



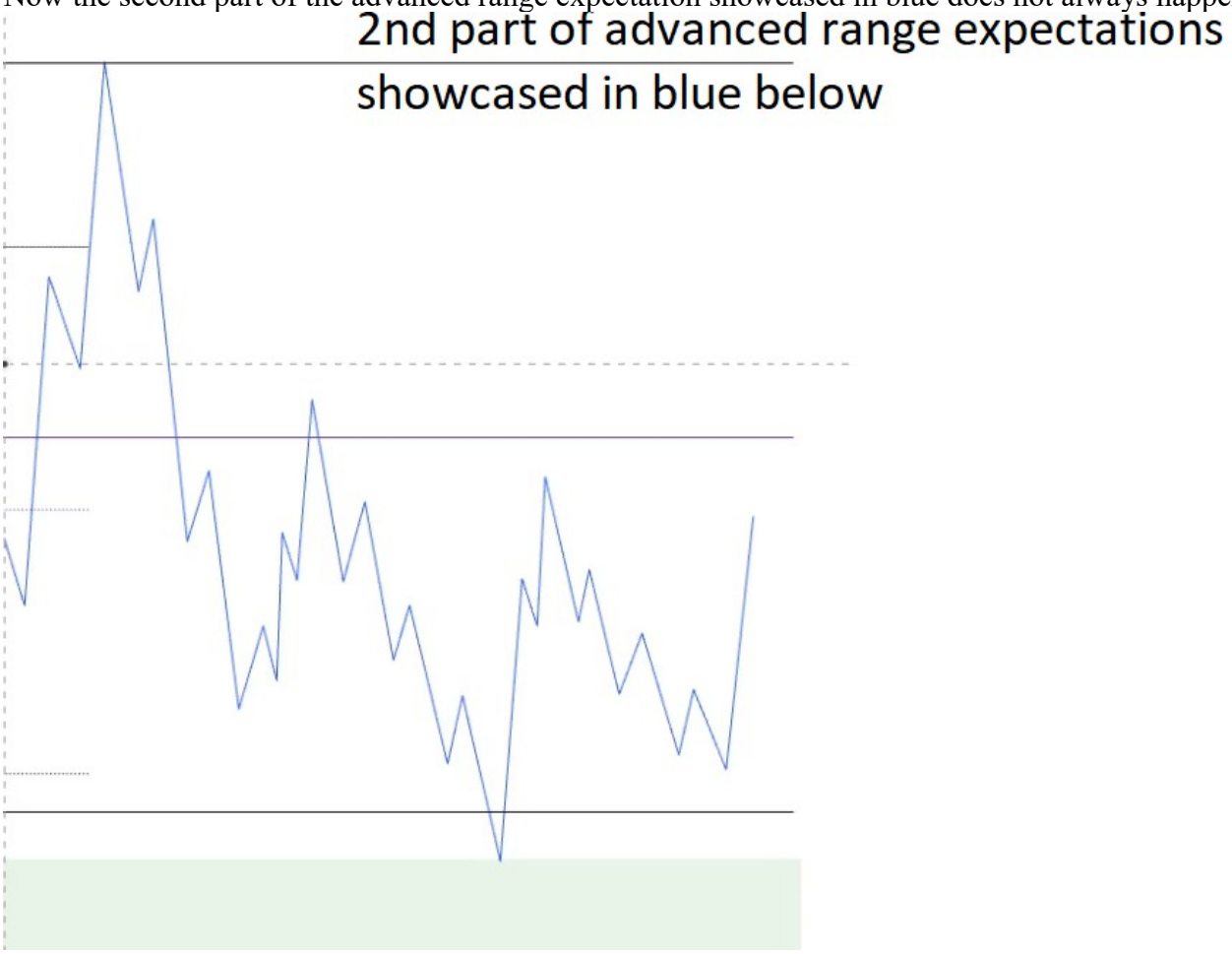
because you are expecting higher time frame ranges to get established this distribution can potentially recover this entire pump towards the upside. And you can get very refined entries for higher time frame targets:



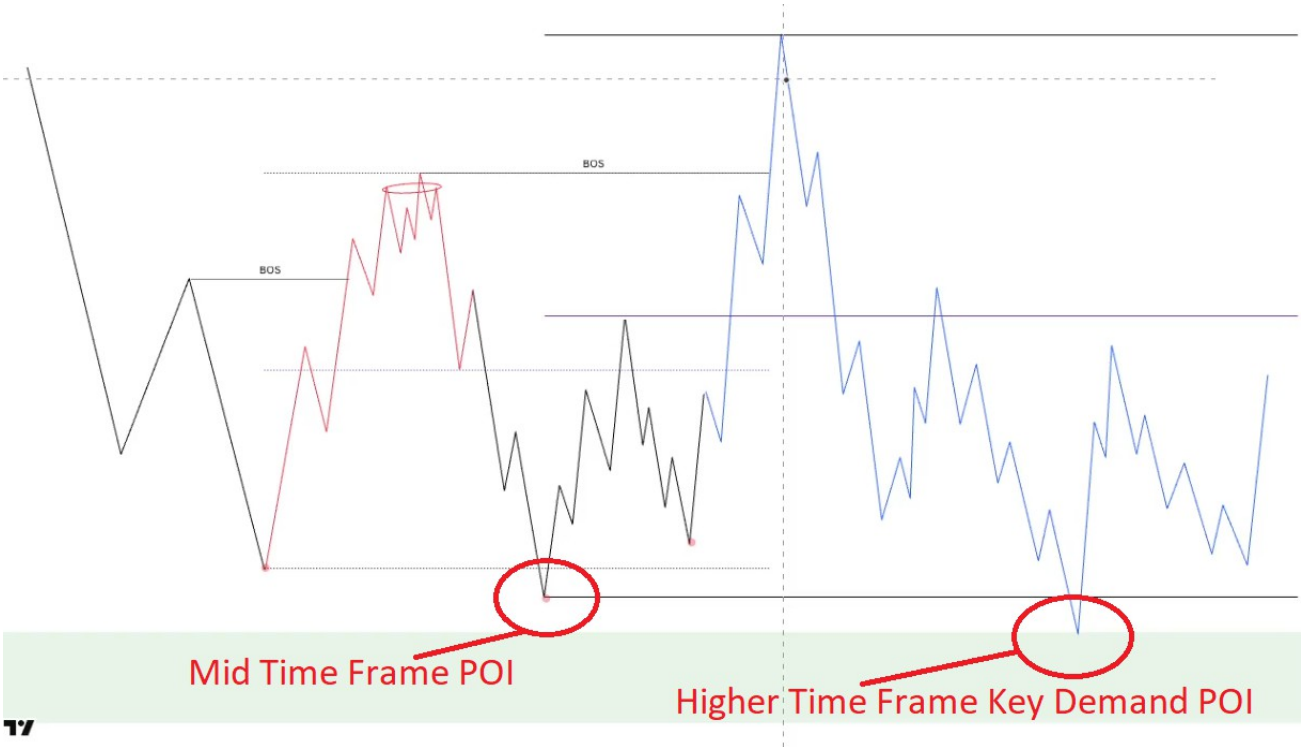
So thats going to be the core foundation of establishing a mid time frame range. And mid time frame don't get confused by me saying mid time frame it could literally be any time frame it just simply means a higher time frame range than the initial break of structure we had. This could be the 5 minute, and the 30 minute, it could be the 1 hour, and the 4 hour, it could be the daily and the weekly. It all depends on what you are focusing on. So thats going to be the first part of the schematic. Getting a

low time frame break here, getting that distribution model, that reverses that low time frame break to create your mid time frame range that can get a potential tap 1, tap 2, and tap 3. Could be a model 2 accumulation, could be a model 1 accumulation, could be an extended model 1 just overall accumulation price behavior. And this works in the exact opposite way when we are focusing on distributions. You get a low time frame bearish break of structure followed by an accumulation model that sends price back up for your mid time frame distribution.

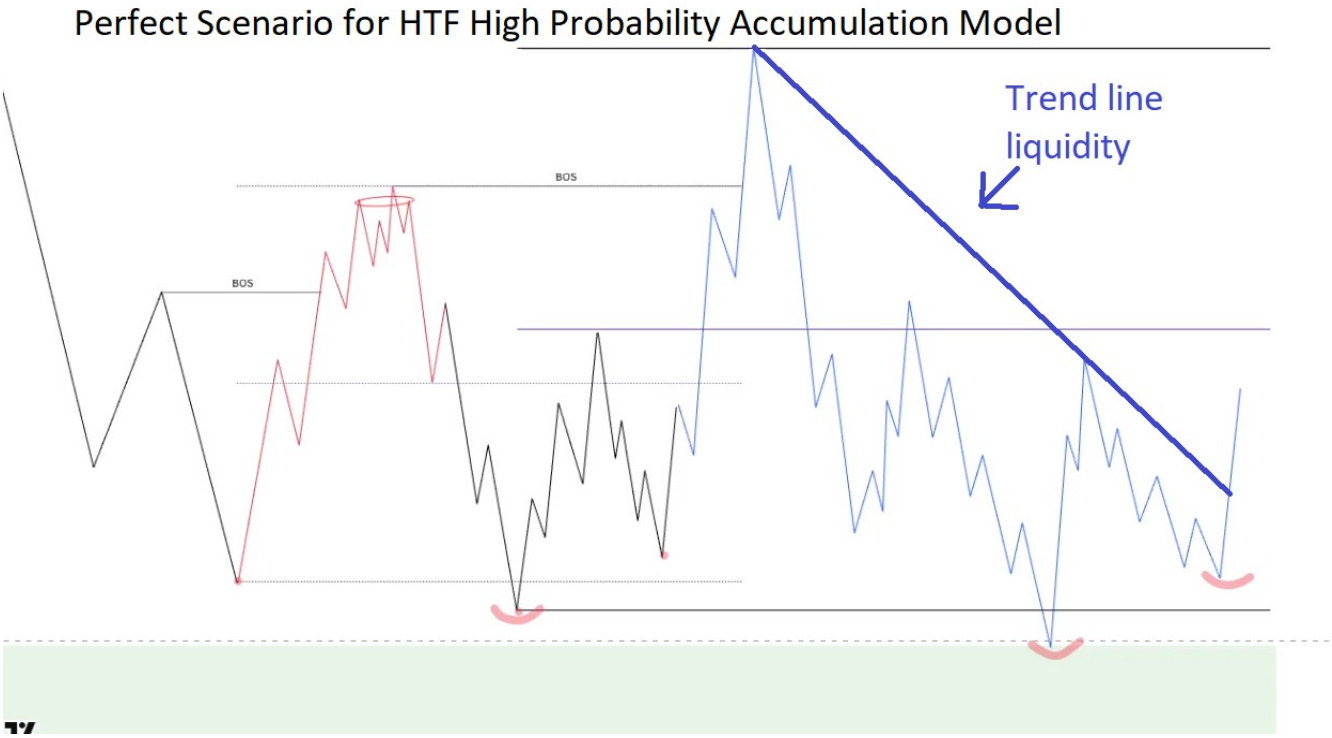
Now the second part of the advanced range expectation showcased in blue does not always happen:



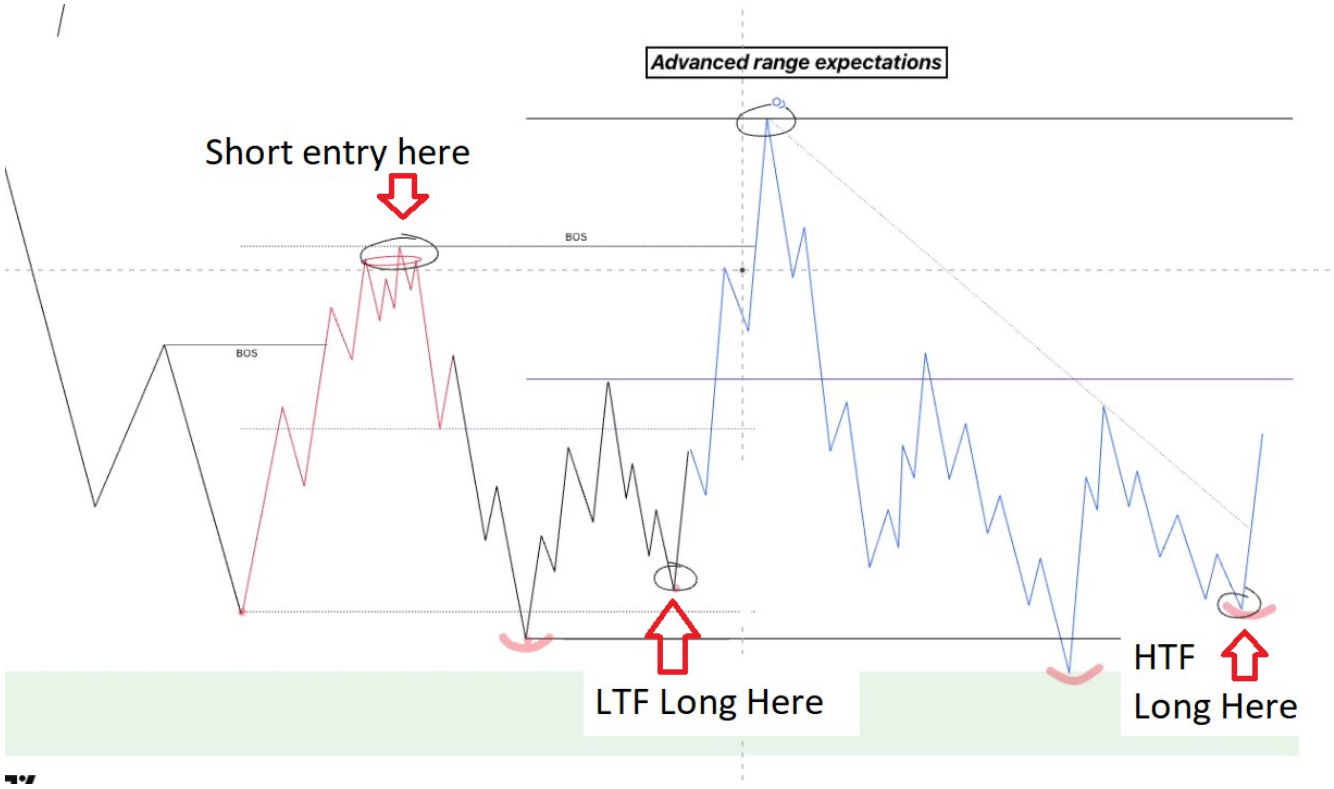
It only happens, at least has a higher chance of happening if price on the initial accumulation front ran a high time frame key demand level. If price front ran a HTF key POI. If price on that mid time frame accumulation right here front run a high time frame level than there is the potential that the mid time frame accumulation plays out and again gets recovered all the way back down to create your high time frame range. It doesn't mean high time frame it just means higher time frame than you initially played out on. And your price is way more vulnerable to creating something like that if you front ran the key level. If we did not grab the fuel needed for it to actually get follow through for it to get towards the upside.



If price did not front run the Higher time frame key demand level it may reach the technical target on the upside but it may not have the fuel to get there. And therefore price gets forced back down to create a higher time frame accumulation model that does mitigate high time frame demand and than establishes a proper accumulation model to expand towards the upside. So in a perfect scenario we will see that price gets a lower time frame break of structure followed in case of the accumulation behavior price is expanding down we can expect a ranging environment to start. We will get a lower time frame break of structure followed by a distribution model that creates the range high of your mid time frame or higher time frame accumulation compared to that initial break that than front ran higher time frame demand that does confirm a high probability model gets the rotation back up to the technical target, deviates it and gets reversed back down into a high time frame, high probability TCT accumulation model that mitigates high time frame demand and now has all the fuel necessary to create the rotation back up. This is some sort of trend line liquidity perfect:



And this is something that you will see happen all the time on any time frame it could be 1 min, 3min, 5min, 1 hour, 4 hour, 18 hour, daily, weekly, monthly. This happens all over the place. So anytime you see me say im expecting a ranging environment to start; you can expect low time frame break of structures to create mid time frame ranges that create accumulations that go over into high time frame environments. Obviously from a distribution standpoint we can simply invert the chart and get the exact same. So price is expanding up aggressively we are expecting some sort of a range to start and therefore once we get the lower time frame break of structure back to bearish right here and we get some sort of accumulation, that accumulation can cause the rotation all the way back up where price than grabs the liquidity from that high where simply all of retail shorted that break of structure placing their stop loss above the previous pivot point which is going to be that tap 1 of the range. You get your mid time frame high probability distribution model on tap 2 however price did not front run high time frame key supply in this case if we are inverting it. Therefore you are not going to be extending your take profit targets because price doesn't have the fuel necessary to get the follow through so you are going to be taking profits at the technical target and than once price comes back up to create a higher time frame accumulation thats where you get ultra heavy on the shorts and you can actually have extended targets. So there are going to be three main entry opportunities in this entire process. There is going to be the short that creates the range high of the mid time frame accumulation, the long of the mid time frame accumulation, and the long of the high time accumulation:


Advanced range expectations
Short entry here
BOS
BOS
LTF Long Here
HTF
Long Here